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**EXECUTIVE
BOARD
MEETING**

EBS/16/140

December 28, 2016

To: Members of the Executive Board

From: The Acting Secretary

Subject: **Kenya—First Reviews Under the Twenty-Four Month Stand-By Arrangement and the Arrangement Under the Standby Credit Facility and Requests for Waivers of Applicability, Rephasing of Disbursements, and Modification of Performance Criterion**

Board Action:	Executive Directors' consideration (Formal)
Tentative Board Date:	Wednesday, January 25, 2017
Proposed Decisions:	Pages 17–21
Publication:	Yes*
Questions:	Mr. Alper, AFR (ext. 35907) Mr. Clements, AFR (ext. 36950) Mr. Hobdari, AFR (ext. 36276) Ms. Saito, AFR (ext. 36449)
Document Transmittal in the Absence of an Objection and in accordance with Board policy:	Friday, January 6, 2017—WTO After Board Consideration—African Development Bank, Common Market for Eastern and Southern Africa, European Commission

*The authorities have indicated that they consent to the Fund's publication of this paper.



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FIRST REVIEWS UNDER THE TWENTY-FOUR MONTH STAND-BY ARRANGEMENT AND THE ARRANGEMENT UNDER THE STANDBY CREDIT FACILITY AND REQUESTS FOR WAIVERS OF APPLICABILITY, REPHASING OF DISBURSEMENTS, AND MODIFICATION OF PERFORMANCE CRITERION

EXECUTIVE SUMMARY

Precautionary program: The Executive Board approved on March 14, 2016 a 24-month Stand-By Arrangement (SBA) and an arrangement under the Standby Credit Facility (SCF), with combined access of SDR 1.063888 billion (196 percent of quota). The first tranche of SDR 542.8 million (100 percent of quota) was made available upon approval of the arrangements, and a further SDR 56.994 million (10.5 percent of quota) will become available upon completion of the first reviews. The authorities intend to continue treating both arrangements as precautionary, and to draw only if exogenous shocks lead to an actual balance of payment need.

Performance under the program: Macroeconomic developments have been broadly in line with the program, including strong growth and lower current account deficits. On fiscal policy, revenue shortfalls in 2015/16 were more than offset by under-execution of public investment. However, there have been delays in meeting structural benchmarks, and the recent adoption of interest rate controls has complicated achieving the objective to modernize the monetary policy framework. Even so, the program remains broadly on track. All continuous and end-June 2016 quantitative performance criteria were met.

Program modalities: The staff report proposes a revision in the macroeconomic framework to reflect recent developments, a modification of the performance criterion on the primary fiscal balance for end-December 2016 in line with a higher budget deficit for 2016/17, and a rephasing of the availability of disbursements under the program. Debt sustainability analysis continues to show a low risk of debt distress, although vulnerabilities have increased.

Policies: Staff and the authorities agree on the need for a growth-friendly fiscal adjustment, further steps towards a modern forward-looking monetary policy framework, and improved financial sector supervision and regulation. These would safeguard public debt sustainability, enhance the effectiveness of monetary policy, and reduce vulnerabilities in the financial sector.

Staff views: The authorities' economic program, supported by the precautionary SBA and SCF arrangements, continues to target a significant reduction in vulnerabilities, paving the way for an eventual exit from Fund arrangements. On this basis, staff recommends completion of the first reviews and supports the authorities' requests for waivers of applicability for SBA for end-December 2016 performance criteria, rephasing of disbursements, and modification of performance criterion.

December 23, 2016

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Approved By
Roger Nord (AFR) and
Vitaliy Kramarenko
(SPR)

Discussions were held in Nairobi during October 19–November 3, 2016 and continued in subsequent weeks. The staff team comprised B. Clements (head), E. Alper, N. Hobdari, and M. Saito (all AFR); S. Mbaye (FAD), R. Moya (MCM), and P. Sharma (SPR). R. Morales (Resident Representative) participated in the discussions. T. Sitimawina from the Executive Director's office joined the mission. The mission met with Cabinet Secretary to the Treasury Rotich, CBK Governor Njoroge, as well as other senior government officials, members of parliament, members of the CBK Monetary Policy Committee, and representatives of the private sector.

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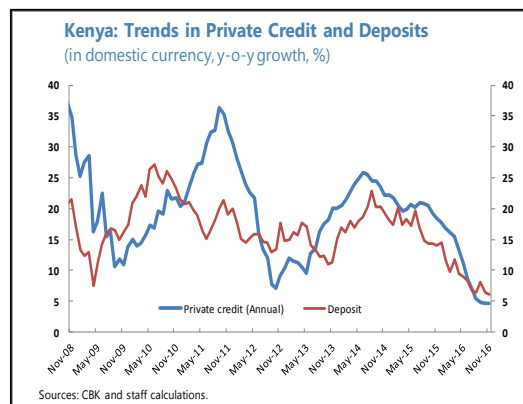
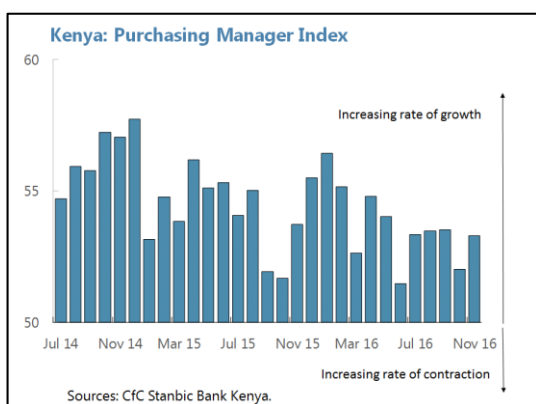
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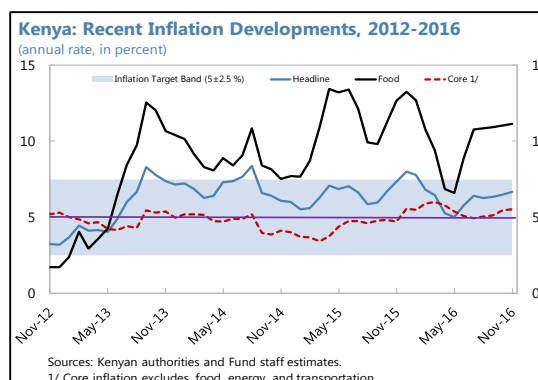
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DEVELOPMENTS UNDER THE PROGRAM

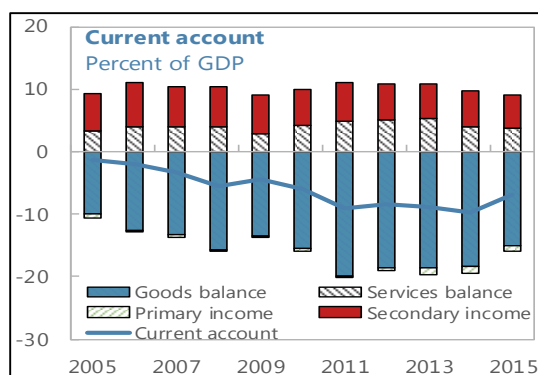
1. Real GDP growth has been in line with program projections through the first half of 2016. Real GDP growth reached 5.6 percent in 2015 (Table 1), and accelerated further (to 6.1 percent) in 2016H1. The main drivers were the continued strong expansion in the construction and electricity sectors, favorable weather conditions, and a recovery in tourism. Short-term leading indicators suggest economic growth will remain robust in 2016 (Figure 1), although the deceleration of credit growth—consistent with regional trends—suggests some slowing in the future (Figure 2).



2. Inflation remains within the authorities' target range (5 ± 2.5 percent). Headline inflation, after falling to a multi-year low of 5 percent in May 2016, has been trending up in recent months, reflecting mainly a renewed spike in food prices, and stood at 6.7 percent in November 2016. The Central Bank of Kenya (CBK) cut the policy rate (CBR) by 100 basis points in May, and another 50 basis points in September (Figure 2), citing mild inflationary pressures and concerns about the slowdown in private sector credit growth.

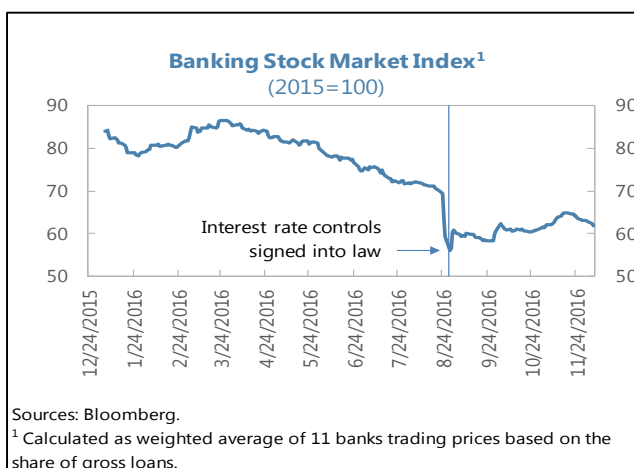


3. The current account deficit has narrowed and reserve coverage has improved (Table 4). The current account deficit fell by 3 percentage points of GDP to 6.8 percent in 2015, primarily due to lower oil prices and investment-related imports that more than offset weaker exports (Figure 3). The current account deficit has continued to narrow in 2016, with the 12-month current account deficit falling to 5.2 percent of GDP in September (compared to a projected 8 percent for the year as a whole under the program). The CBK has accumulated reserves, which as of end-November stood at 5.3 months of prospective imports.



4. A new law introducing interest rate controls became effective in September 2016. The

law puts a ceiling on lending rates by banks and financial institutions at 4 percentage points above the CBR, coupled with a floor on term-deposit rates equal to 70 percent of the CBR. With the CBR currently at 10 percent, this implies a floor of 7 percent on term deposit rates and a ceiling of 14 percent on loan rates, which could affect over half of the banking sector's deposits and loans. Since the signing of the law, stock prices of Kenya's biggest banks have fallen and a number of banks have announced cost-cutting measures, including layoffs, closure of branches, and cancellation of expansion plans. Both the National Treasury and the CBK had publically voiced their opposition to the law before it was implemented in Parliament.



PROGRAM PERFORMANCE

5. Program implementation has been mixed:

- Quantitative targets.** All continuous and end-June quantitative performance criteria (PCs) were met (MEFP Table 1). All end-March and end-June 2016 indicative targets have been met with the exception of the end-June social spending target, which was missed by a small margin because of delays in disbursement of donor commitments on the social cash transfers. All end-September 2016 quantitative indicative targets have been met. The authorities are seeking a rephrasing of disbursements, modification of the end-December PC on the primary budget balance of the national government in line with the revised annual program targets, and waivers of applicability for the end-December PCs on the primary budget balance, stock of central bank net international reserves, national government external payment arrears, and the monetary policy consultation clause, for which data are not yet available. Staff expects these PCs to have been met.
- Monetary policy consultation clause.** Headline inflation has remained within the authorities' target range since February 2016 and is expected to remain within the range in the near term.
- Structural reforms.** Progress on structural reforms has been slower than envisaged, reflecting capacity issues and the need for additional technical assistance. None of the structural benchmarks were met at the envisaged completion date, although two were completed with a delay--notably the adoption of an action plan by the CBK to strengthen the regulatory framework for banks, and the establishment of a tracking system for government pending bills. In addition, partially consolidated financial statements for all entities in the public sector were made publicly available. There was significant progress toward the integration of personnel payments into the Integrated Financial Management Information System (IFMIS), the issuance of

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Cabinet guidelines on the management of public investment projects, and the completion of a study on tax expenditures. Benchmarks that have not been met are proposed to be re-phased and updated (with the exception of establishing an interbank interest rate corridor, ¶16) and will be monitored under the course of the program (MEFP Tables 2 and 3).

POLICY DISCUSSIONS

A. Revised Macroeconomic Framework and Risks

6. Recent developments warrant a revision to the macroeconomic framework, including a downward revision of growth and an improved balance of payments position (Tables 1–5).

- GDP growth.** Staff expects that the interest rate controls will reduce economic growth. Staff and the authorities discussed the international experience with lending rate controls, which suggests that they reduce access to credit, especially for unsecured lending and for small and medium-sized enterprises (SMEs), which in turn reduces GDP growth. While there is considerable uncertainty regarding the timing and magnitude of the expected adverse impact of the interest rate caps, there was agreement to base the program on a lower GDP growth (text table), with the impact declining over time under the assumption that lenders gradually adjust their fees and borrowers shift to micro-financing affiliates that are not covered by the new law.
- Inflation.** Core inflation is expected to decline in coming months, in part reflecting the diminished impact of the base effects of excise rate hikes in December 2015. At the same time, higher global fuel prices will put pressure on domestic fuel prices. On balance, headline inflation will be slightly above the original program projections for 2017.
- Balance of payments.** The current account deficit is projected to decrease further in the medium term, primarily due to a faster recovery of tourism and goods exports, as well as lower oil and investment-related imports. The projected pick-up in export growth is underpinned mainly by gains in competitiveness due to reforms to the business environment (¶21), ongoing regional integration supported by infrastructure investment, and stronger global growth. International reserves are projected to be slightly above levels in the original program.

Kenya: Revised Macroeconomic Outlook

	2014	2015		2016		2017		2018	
	Act.	Prog.	Act.	Prog.	Proj.	Prog.	Proj.	Prog.	Proj.
Real GDP growth (percent)	5.3	5.6	5.6	6.0	6.0	6.1	5.3	6.5	5.8
CPI inflation, average (percent)	6.9	6.6	6.6	6.6	6.3	5.7	6.3	5.1	5.2
CPI inflation, eop (percent)	6.0	8.0	8.0	5.8	6.0	5.5	5.9	5.0	5.0
Current account balance (percent of GDP)	-9.8	-8.2	-6.8	-8.0	-5.5	-6.7	-5.7	-6.6	-5.6
Gross international reserves (in billions of US\$)	7.9	7.5	7.5	7.8	7.8	8.3	8.5	9.0	9.4
Gross international reserves (months of imports)	5.3	4.5	5.1	4.5	4.8	4.5	4.8	4.4	4.9
Total public debt (gross, percent of GDP)	48.6	51.2	51.2	53.1	54.4	54.4	54.7	54.0	54.4

Sources: Kenyan authorities and IMF staff estimates and projections.

7. These macroeconomic projections are subject to larger risks than envisaged in the original program, mainly reflecting the interest rate controls. There is higher uncertainty around the baseline because of the interest rate controls; their effects on growth will depend on how they are implemented (including any mitigating measures) and the speed of adjustment by borrowers and lenders to the new environment (¶125). Other risks include: (i) on the upside, a faster-than-projected recovery of tourist arrivals; and (ii) on the downside, a potential increase in the volatility of global capital flows and new security incidents. If interest rate controls were abolished, the growth path would be largely similar to the original program.

B. Fiscal Policy: Staying the Course of Adjustment to Preserve Sustainability

8. The 2015/16 deficit outturn was lower than anticipated (Table 2 and Figure 3). Total revenues fell 1 percent of GDP short of the program target, reflecting shortfalls in personal income taxes, lower import volumes, and lower reported profits in the financial sector. However, the revenue shortfall was more than offset by an under-execution of investment spending, including both on domestically-financed investment (by 0.5 percent of GDP) and the foreign-financed Standard Gauge Railway (SGR) project (1 percent of GDP). Current spending was broadly in line with program projections, as higher domestic interest and pension payments were offset by the under-execution of other spending, including wages. The overall cash deficit was 7.5 percent of GDP in 2015/16, compared to 8 percent under the program. The financing plan was broadly consistent with the program. In line with the smaller deficit, net public debt was also lower than in the program.

9. Fiscal developments in the first quarter of FY2016/17 were characterized by a marked improvement in revenue collection. Receipts of domestic VAT and excise revenues were particularly high, reflecting improvements in revenue administration from the i-Tax and excise goods management systems, new excise tax measures, and the re-introduction of VAT withholding. Spending execution, on the other hand, was characteristically slow, resulting in a small cash deficit of 0.8 percent of GDP at end-September 2016.

10. The authorities are committed to reducing the deficit to 6.9 percent of GDP in 2016/17 (Table 2, MEFP ¶11). Despite improvements in collection during the first quarter of 2016/17, revenues and grants are expected to be 0.3 percent of GDP lower than anticipated in the program, due to the carried-over shortfall from 2015/16. In addition, interest payments and other current spending—mainly one-off, election-related spending—are higher than in the program. To ensure a reduction of the deficit to 6.9 percent of GDP, the authorities have committed to adjust lower-priority spending to fit the revised revenue envelope. In addition, the authorities have initiated reforms, expected to be implemented by January 2017 to significantly broaden the tax base (MEFP ¶12). The higher deficit (by 0.4 percent of GDP) relative to the original program is justified in light of the lower-than-expected deficit and net public debt outturn in 2015/16, and one-off election related spending.

11. The authorities and staff agreed to preserve a fiscal deficit path consistent with the original program, targeting an overall deficit of 3.7 percent of GDP by 2018/19 (MEFP ¶12). Such a path would ensure a progressive convergence towards the East African Monetary Union deficit ceiling of 3 percent of GDP by 2020/21, consistent with the envisaged fiscal reforms. In

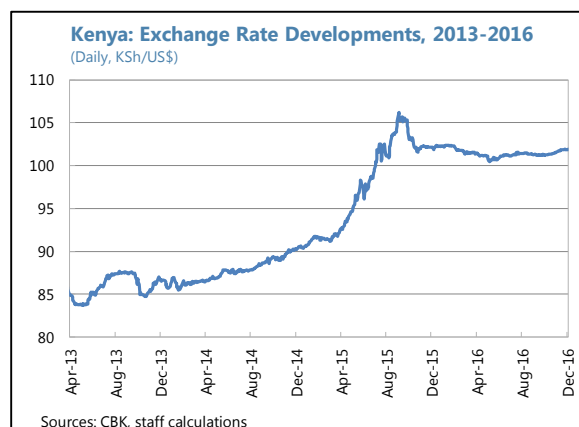
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addition, the authorities are targeting a medium-term debt anchor of 45 percent of GDP in PV terms, while allowing for a high level of growth-enhancing public investment. This will require further revenue mobilization efforts, combined with a rationalization of low-priority spending, including in wages and other discretionary recurrent spending. The authorities have committed to close monitoring of revenue developments in the remainder of 2016/17 and, if necessary, will take additional measures—including in the 2017/18 budget—to ensure that the envisaged increase in tax revenues in 2017/18 (0.4 percent of GDP) is achieved (MEFP ¶13).

12. The authorities are moving ahead in strengthening public financial management reforms (MEFP ¶14). These reforms aim at improving the efficiency of government spending and strengthening expenditure control to mitigate fiscal risks. They include steps to strengthen the selection and monitoring of investment projects and making further progress in consolidating financial statements for the general government. In addition, the authorities have established a monitoring system for the government's pending bills in IFMIS and are also moving towards establishing a Treasury Single Account by introducing a centralized payment system in mid-2017. In additions Kenya's IFMIS will be made more comprehensive by incorporating personnel and debt payments. As an intermediate step, the authorities are automating the release of funds from the exchequer account for the Ministry and Development Agencies (MEFP Table 3).

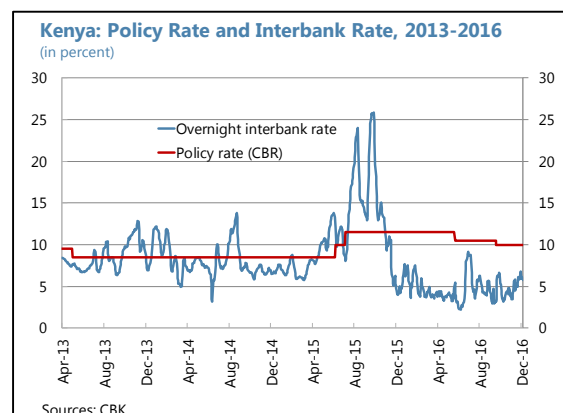
C. Monetary Policy and Exchange Rate Issues: Maintaining Stability

13. The CBK accumulated international reserves and kept inflation within the target range in the context of a mostly benign external environment in 2016. The exchange rate has remained stable, with the shilling ranging between 100.5–102.5 against the US dollar during 2016 (text figure). Despite recent exchange rate pressures, also reflecting the recent US interest rate hike, international reserves increased by about US\$ 300 million in 2016 as Kenya benefited from an improved current account and relatively strong capital inflows (Figure 4). The stability of the exchange rate also contributed to headline inflation remaining within authorities' target range from February 2016 and the CBK lowered the policy rate to 10 percent during the year (¶12).



14. Unsterilized foreign exchange interventions and continued financial stability concerns have complicated the monetary policy framework.

Interbank interest rates have deviated significantly from the CBR during 2016 (text figure), reducing the effectiveness of the CBR as a tool for monetary policy. The significant spread of the interbank rate from the CBR¹ (over 600 basis points on average in 2016) mainly reflected the CBK's unsterilized interventions in the foreign exchange market, as well as liquidity provision by the CBK to smaller banks that experienced liquidity shortfalls and were cut off from the interbank market (see ¶18). At the same time, large banks have begun to hold more liquidity, with the liquidity to asset ratio increasing from 27.8 percent at end-2015 to 34.3 percent at end-September).



15. The recent adoption of interest rate controls further constrains Kenya's interest-rate based monetary policy framework (Box 1). Under the interest rate controls, the ceiling for lending rates is automatically linked to the CBR. A reduction in the CBR thus reduces the maximum rate that banks can charge on their loans, which could lead banks to further ration out some high-risk and/or high-cost borrowers, including not only SMEs but also those needing longer-maturity loans. Monetary loosening through a cut in the CBR may be less effective than before in easing credit conditions for the economy. Thus, the scope for adjustments in the CBR is restricted under the interest rate controls. Interest rate controls could also lead to higher dollarization (as FX loans and deposits are exempt from this legislation), weakening the monetary transmission mechanism and increasing exchange rate risks.

¹ The CBR serves as a floor for lending by the CBK to banks to mop up liquidity through repo operations, and as a ceiling for withdrawing liquidity by the CBK from the market through reverse repo operations.

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Box 1. The Potential Impact of Interest Rate Controls in Kenya

The Kenyan Parliament introduced a new law on interest rate controls that became effective in September 2016, with the aim of reducing the cost of borrowing and increasing the return on savings. International experience, however, shows that such controls are ineffective and can have significant unintended consequences. These would ultimately lead to lower economic growth and undermine efforts to reduce poverty. In addition, linking deposit and lending rates to the policy rate limits the central bank's capacity to maintain price stability and support sustainable economic growth. The objectives of the law could be achieved, instead, by increased competition and transparency in the banking sector.

Potential adverse impacts of the law include the following:

Reduced access to finance for small borrowers

Instead of facilitating affordable lending, ceilings on lending rates often lead to lower financial access for the poor and underprivileged. Caps on lending rates lead to a reallocation of lending from small borrowers towards the government and large private borrowers (e.g., corporates), as they tend to be cheaper to administer. This behavior has been observed in many countries, including in Bolivia, Colombia, the Dominican Republic, Ecuador, Haiti, Nicaragua, Peru, Poland, WAEMU countries, and Zambia, among others. In Kenya, these effects are likely to be even stronger because the lending rate ceiling is much lower than in other countries with interest rate controls.

Increase in costly informal lending and indebtedness

As access to bank credit is curtailed, small borrowers with little or no collateral may be forced to turn to informal lenders. These often charge much higher rates and are not subject to regulation. Hence, ceilings are likely to be ineffective in reducing costs for borrowers. On the contrary, they are likely to lead borrowers to shift more debt into short-term revolving credit instruments, such as credit cards, and increase the indebtedness of low-income borrowers. An increase in such informal lending following the imposition of lending rate caps has been observed in several countries.

Reduced transparency

Financial institutions may try to compensate—partially or totally—for the impact of interest rate ceilings with non-interest charges and fees. Even if they succeed in offsetting the impact on lending rates, transparency may be significantly affected. In fact, it is not unusual that low-income borrowers face an increase in the cost of borrowing through additional fees and commissions as experienced in Armenia, Nicaragua, South Africa, and Zambia. The increased reliance by banks on non-interest charges and fees makes it difficult for borrowers to accurately access the total cost of borrowing and make informed decisions.

Reduced competition and innovation

SMEs often rely on small banks for their loans. Interest controls are likely to hit these small banks harder, which often have to pay higher deposit rates than bigger banks. Interest controls limit the capacity of small banks to pass on these higher costs of deposits to their borrowers. Meanwhile, larger banks may close their branches that become unprofitable after the controls. Both factors will reduce competition and the provision of banking services to the population, as experienced in Italy in the 1970s.

Box 1. The Potential Impact of Interest Rate Controls in Kenya (Continued)

The quality of bank services could also decline following the imposition of interest controls. To deal with a squeeze in their profitability, banks may discourage access to financial services by limiting access to interest-earning deposits, discontinuing hybrid checking/saving accounts, and/or introducing new penalties for early withdrawals. This can reduce the range of financial services available for low-income households, as observed in France and Germany.

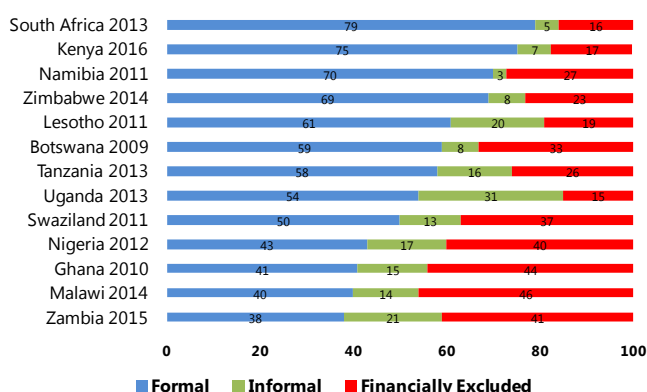
Adverse effects on financial inclusion

The adverse effects of the law could reverse some of the significant gains in financial inclusion observed in Kenya since interest rates were liberalized in the mid-1990s. For example, access to credit by SMEs increased from 25.6 percent in 2006 to 33.4 percent

in 2013, according to World Bank

Enterprise Surveys. The development of mobile banking has also helped to increase financial inclusion through banks (by 27 percentage points in the past 10 years), by reducing transaction costs and allowing financial institutions to attract new customers. A reversal in this trend would adversely affect a large segment of the economy. This, in turn, would translate into a less dynamic economy, with an impact on employment generation and growth.

Regional Comparison of Financial Access



Reduced monetary policy effectiveness

Linking deposit and lending rates to the CBR reduces monetary policy effectiveness. For example, suppose the CBK were to loosen its monetary policy stance to encourage credit growth through a cut in the policy rate. The consequence of this would be a decline in the interest rate ceiling, which would make it less profitable for banks to lend to small, high-cost borrowers. This would discourage banks from lending to these customers, offsetting the impact of the rate cut. Even more fundamentally, interest rate controls reduce the signaling effect and thus the relevance of the CBR.

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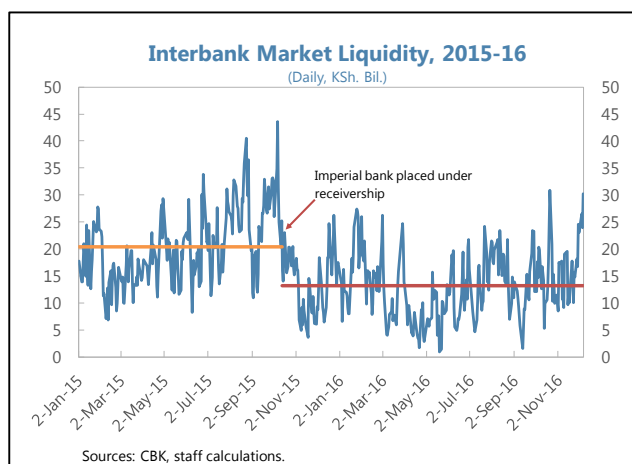
17. The authorities expressed commitment to strengthen the monetary policy framework, although establishing an interest rate corridor was not seen as feasible at this stage. The disconnect between the CBR and interbank rates reduces the signaling effect and thus relevance of the CBR, creating challenges for the CBK to communicate its monetary policy stance. The CBK reiterated its commitment to align the interbank rates with the CBR to further modernize the monetary policy framework. However, they argued that the implementation of a formal interest rate corridor in the context of interest rate controls would be undesirable since it would restrict movements in the overnight interbank rate, constraining the CBK's capacity to react to changes in economic conditions and meet its inflation objective. Nonetheless they are committed to realign interbank rates to the CBR as economic conditions permit (MEFP ¶16). Staff concurs that establishing the formal interest rate corridor would be inappropriate while interest rate controls remain in place. At the same time, staff underlined the importance of establishing a formal corridor as a way to strengthen the monetary policy framework over the medium term, and welcomed other measures currently underway to strengthen the monetary policy framework (MEFP ¶16).

18. The current accommodative stance of monetary policy stance is broadly appropriate in light of the benign inflation and weaker growth outlook. While real interbank interest rates are close to zero, inflation is expected to remain contained and growth is projected to be below potential in 2016 and 2017. An accommodative monetary policy stance, as gauged by overnight interbank rates, remains appropriate, and depreciation pressures, should they occur, should not be resisted. If growth and inflation surprise on the upside, however, or if global monetary conditions tighten more than expected, the CBK should stand ready to tighten monetary policy.

D. Financial Sector: Mitigating Financial Stability Risks

19. The banking sector remains adequately capitalized but credit quality has deteriorated, especially for a number of small banks. The latest financial soundness indicators (end-September) suggest that the banking system remains well-capitalized while maintaining adequate levels of liquidity. At the same time, non-performing loans (NPLs) have increased in recent months and reached 8.8 percent of total gross loans in September. Provisions, currently close to 50 percent of NPLs, have declined since early 2016 (Table 5), with significant differences across banks. Six relatively small banks, accounting for 6.7 percent of the banking system, have NPL ratios of more than 20 percent (based on bank disclosure reports for 2016Q3). The CBK recently adopted an action plan to strengthen banking supervision, including on AML/CFT, as well as legal and regulatory framework for banks (MEFP ¶19-20). The authorities continue to enhance their financial crisis preparedness with the consolidation of the Kenya Deposit Insurance Corporation (KDIC), but a sufficient level of staffing is needed to ensure its capacity for timely action.

20. The interbank market has become highly segmented, with adverse effects on liquidity management. Two banks were put in receivership in the second half of 2015, and a mid-sized bank was put in receivership in April 2016. The latter bank (3.3 percent of total bank assets) was intervened because of serious liquidity deficiencies after audit reports found evidence of insider lending in excess of prudential limits. Since then, risk aversion in the banking sector has increased, and daily transactions on the interbank market have fallen by about a third. The market has become highly segmented, with large banks with high levels of liquidity reluctant to provide liquidity to smaller banks. This has also been reflected in wide differences in interbank lending rates for large and small banks. Volumes on the horizontal repo (overnight collateralized) market also remain low. The CBK has promptly reacted to these events, putting in place the necessary liquidity facilities to minimize the effects on financial stability.



21. The interest rate controls pose challenges to bank profitability and are expected to hamper credit growth. Before the implementation of the law, over half of the commercial bank loans had rates above the current ceiling and deposits with rates below the floor (¶14). The implementation of the new law will have an adverse effect on banks' net interest income. Staff and the authorities agreed that in the short run, the banking system had sufficient capital buffers to weather the effects of the interest rate controls on capital adequacy. At the same time, there was concurrence that the caps would, over the medium term, adversely impact asset quality as banks would lose their capacity to price risks adequately, potentially posing a risk to financial stability. The authorities are monitoring developments closely and are committed to taking steps as needed to ensure financial stability. Staff and the authorities agreed that the objectives of the law could be achieved, instead, by increased competition and transparency in the banking sector. These are consistent with the CBK's action plans to reduce borrowing costs for households and businesses (MEFP ¶21). Rapid results from this action plan could alleviate the concerns of Parliament that gave rise to the controls and facilitate their elimination.

E. Supporting The Business Environment and Policy Making Through Structural Reforms and Data Provision and Quality

22. Structural reforms have improved the business climate and underpinned the strengthening of the private sector. Kenya's ranking in the World Bank's Doing Business Report (2016) improved 21 places relative to 2015, one of the top 10 increases across the globe. Ongoing reforms will seek to (i) reduce transportation and trading costs, (ii) strengthen governance in business operations through the introduction of anti-bribery legislation, and (iii) improve procurement procedures and frameworks at the national and county level (MEFP ¶14).

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23. The authorities are making progress in improving macroeconomic statistics, especially on the external sector. The Kenya Bureau of National Statistics (KNBS) is conducting a foreign investment survey to collect data for 2014 and 2015 and the first estimate of the annual International Investment Position (IIP) will be published in May 2017.

PROGRAM MODALITIES

24. Staff proposes resetting and updating the structural benchmarks that were not met (MEFP Tables 2–3). Structural benchmarks that were not met are proposed to be reset and updated with a view to provide additional time to provide technical assistance on these by the Fund and the World Bank Group. The authorities have made significant progress in these areas and should be in a position to complete the benchmarks within the rephrased timeline. Staff believes that the structural reforms envisaged in the program remain appropriate.

A. Capacity to Repay the Fund and Risks to the Program

25. Kenya retains a strong capacity to repay the Fund (Table 7). The Debt Sustainability Analysis update (Annex 1) finds that Kenya remains at low risk of debt distress. However, as measured by the standardized stress tests under the DSA framework, the vulnerability to export shocks has increased. Risks are also higher, due to the impact of interest rate controls. Nonetheless, the growth and resilience of exports is expected to increase, supported by stepped-up infrastructure investments, ongoing regional integration and the strong recovery in tourism, the latter reflecting steps taken in recent years to increase security. Together with the envisaged fiscal consolidation over the medium term, this would help maintain Kenya's low risk of debt distress. Obligations to the Fund (assuming full drawings under the precautionary program), measured relative to exports and GDP, remain manageable. Debt sustainability and capacity to repay the Fund is predicated on the planned medium-term fiscal consolidation and ongoing reforms to boost growth.

26. The main downside risks to the program stem from the interest rate controls, external shocks, and a delay in fiscal consolidation. The interest rate controls could reduce growth by more than anticipated under the program baseline. Staff estimates that the maximum adverse effect would be to reduce growth by around 2 percentage points each year in 2017 and 2018; under the baseline, the effects will be to reduce growth by about 1 percentage point a year. Over the near term, the controls do not jeopardize achieving the key objectives of the program on monetary policy and financial stability. If maintained over the long run, however, they could pose large risks to the program. With respect to other risks, external shocks leading to an increase in global financial market volatility would reduce or reverse capital flows to Kenya. Domestically, the upcoming elections could erode program ownership, delay fiscal consolidation plans, and potentially lead to heightened political instability. In addition, strains in relations between the central government and counties could weaken fiscal discipline, and weaker-than-expected improvements in revenue administration could lead to fiscal slippages. On the upside, exploitation of oil and gas resources discovered in 2014 could significantly improve the medium- to long-term external and fiscal position. The program is fully financed for 12-months with good prospects for the remaining period being adequately financed.

27. If downside risks materialize, policy measures may be needed to safeguard macroeconomic stability and debt sustainability. In the event of an external shock, flexibility in the exchange rate, combined with the use of Kenya's ample foreign currency reserves, would help avoid excessive volatility. Some further monetary policy tightening may be needed to prevent second-round effects on inflation. The use of fiscal policy for demand management purposes remains constrained in the near term in light of Kenya's substantial level of public debt.

B. Implementation of Safeguards Recommendation

28. The main recommendations of the safeguards assessment have been completed. A key recommendation of the May 2015 update safeguard update—to reconstitute the CBK Board—was implemented in November 2016. In addition, the CBK has strengthened its internal audit and financial reporting practices, and amended its legal framework in line with staff's suggestions. The only outstanding recommendation relates to the reconstitution of the Audit Committee, which is expected to be implemented shortly.

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29. Kenya's economic performance has remained robust, underpinned by solid macroeconomic policies. Supported by higher public infrastructure spending, favorable weather conditions, and a recovery in the tourism sector, real GDP growth has picked up further in the first half of 2016. Inflation remains within the authorities' target range, and the current account deficit has narrowed further. The exchange rate remains stable and international reserve coverage has increased.

30. The impact of interest rate controls is negative, although the adverse effects are manageable in the near term. The recent law on interest rate controls is expected to reduce access to credit, thereby weighing on growth. The controls also weaken the signaling effect of the CBR, complicating the conduct of monetary policy. In addition, the controls adversely affect banking sector profitability through reduced interest margins, especially for small banks. Nonetheless, staff deems that the effects of the controls are manageable in the near term: growth is expected to remain above 5 percent, the CBK has sufficient tools to achieve its inflation objective, and banks have sufficient buffers to absorb the projected reduction in interest margins.

31. Staff urges the immediate removal of interest controls. The authorities could explore other ways to prevent predatory lending practices on consumer loans. Staff supports the envisaged steps by the CBK aimed at increasing competition and the transparency of the banking sector and believes that these would help generate support for the removal of the controls. Rapid implementation of these reforms would help achieve the objectives of the law without the distortions created by the interest rate controls. Staff welcomes the authorities' commitment to closely monitor the impact of the law on credit and bank profitability.

32. Fiscal consolidation over the medium term is key to maintaining macroeconomic stability and public debt sustainability. The 2016/17 budget deficit is slightly higher than under

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the program to accommodate election-related spending. This spending will be unwound and additional measures will be taken over the next two years to return the deficit to the original program deficit target of 3.7 percent of GDP by 2018/19. Notwithstanding the envisaged adjustment, the authorities' commitment to contain low-priority spending would preserve fiscal space for development priorities, including greater provision of health and education services. Staff welcomes the authorities' commitment to achieve its revenue targets as part of this effort. Staff urges the authorities to resolutely implement their fiscal strategy to maintain public debt sustainability and support inclusive growth.

33. Staff welcomes the authorities' reforms to strengthen fiscal policies and institutions.

Despite some delays, the authorities have made significant progress in public financial management reforms. Staff welcomes the envisaged fiscal reforms aimed at upgrading the efficiency of public spending and strengthening expenditure control, which will buttress the credibility of the envisaged consolidation.

34. Establishing an interest rate corridor remains a key priority for strengthening the monetary policy framework.

In light of the uncertainties created by interest rate controls, establishing a formal interest rate corridor at this time may be difficult. In this context, staff welcomes the CBK's commitment to conduct liquidity operations to realign the interbank rates to the CBR, as market conditions permit.

35. Staff welcomes the CBK's efforts to strengthen financial stability and to enforce enhanced reporting requirements.

The CBK has addressed emerging risks to financial stability risks by resolutely intervening in banks deemed unviable and by providing liquidity to smaller banks that have been cut off from the interbank market. The envisaged steps to implement the action plan on banking regulation and supervision will increase the authorities' capacity to monitor credit and liquidity risks and limit insider lending.

36. Continued improvements in macroeconomic statistics and accelerated implementation of governance reforms are essential to upgrade efficiency, transparency, and accountability.

Staff welcomes ongoing reforms to reduce the costs of doing business, introduce anti-bribery legislation, and improve public procurement procedures. The publication of the foreign investment survey data for 2014 and 2015, the first-ever IIP for 2011-16, and quarterly publication of consolidated GFS-compliant general government data are welcome steps to improve external and fiscal sector data.

37. Staff supports completion of the first reviews under the precautionary SBA and SCF arrangements.

Economic policies remain strong. Notwithstanding the adverse effects of the recent law on interest rate controls, the authorities' economic program supported by the SBA and SCF arrangements helps maintain a sustainable public debt position, keep inflation within authorities' target range, and strengthen financial sector oversight. On this basis, staff recommends completion of the first reviews under the SBA and SCF arrangements and also supports the authorities' requests for waivers of applicability for SBA for end-December PCs, rephasing of disbursements, and modification of performance criterion.

Proposed Decisions

The following decisions, which may be adopted by a majority of the votes cast, are proposed for adoption by the Executive Board. Decision 2 is proposed for adoption only in the event that Decision 1 is adopted by the Executive Board.

Decision 1

1. Kenya has consulted with the Fund in accordance with paragraph 3(c) of the Stand-By Arrangement for Kenya (EBS/16/11, 3/1/2016, the "Stand-by Arrangement") in order to review program implementation.
2. The letter dated December 23, 2016 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya (the "December 2016 Letter"), together with its Memorandum of Economic and Financial Policies (the "December 2016 MEFP") and the Technical Memorandum of Understanding (the "December 2016 TMU"), shall be attached to the Stand-by Arrangement and the letter dated February 29, 2016 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya shall be read as supplemented and modified by the December 2016 Letter and its attachments.
3. Accordingly, the Stand-by Arrangement shall be amended as follows:

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- a. In paragraph 2(a) of the Stand-by Arrangement, "May 15, 2017" shall be replaced with "June 15, 2017," and "November 15, 2017" shall be replaced with "December 15, 2017";
- b. In paragraph 3(a) of the Stand-by Arrangement, "Table 3 of the MEFP and as further specified in the TMU" shall be replaced with "Table 1 of the December 2016 MEFP and as further specified in the December 2016 TMU"; and the performance criteria for end-June 2017 shall be as specified in Table 1 of the December 2016 MEFP and further specified in the December 2016 TMU;
- c. In paragraph 3(b) of the Stand-by Arrangement, "Table 3 of the MEFP and as further specified in the TMU" shall be replaced with "Table 1 of the December 2016 MEFP and as further specified in the December 2016 TMU";
- d. Paragraph 3(c) of the Stand-by Arrangement shall be replaced with the following:

"(c) On or after November 14, 2016, June 14, 2017, December 14, 2017, and March 4, 2018, respectively, until the reviews contemplated in paragraph 5 of the December 2016 Letter are completed;"
- e. In paragraph 3(e) of the Stand-by Arrangement, "Paragraph 12 of the TMU and Table 3 of the MEFP" shall be replaced with "paragraph 12 of the December 2016 TMU and Table 1 of the December 2016 MEFP".

4. The Fund decides that the first review contemplated in paragraph 3(c) of the Stand-by Arrangement is completed, and that Kenya may make purchases under the Stand-by Arrangement up to a total cumulative amount equivalent to SDR 399.863 million through February 16, 2017, and thereafter in accordance with the provisions of the Arrangement, notwithstanding the unavailability of the information necessary to assess the observance of the end-December 2016 performance criteria on the floor on the primary budget balance of the national Government of Kenya and the floor on the stock of net international reserves of the Central Bank of Kenya, specified in paragraphs 3(a)(i) and (ii), respectively, of the Stand-by Arrangement, on the condition that Kenya has accurately represented that such information is unavailable and on the further condition that the information provided by Kenya to assess performance under these criteria for end-June 2016 is accurate.
5. This Decision shall become effective only upon the adoption of the Decision 2 below by the Executive Board.

Decision 2

1. Kenya has consulted with the Fund in accordance with paragraph 3(b) of the arrangement for Kenya under the Standby Credit Facility (EBS/16/11, 3/1/2016, the "SCF Arrangement") to review program implementation.
2. The letter dated December 23, 2016 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya (the "December 2016 Letter"), together with its

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Memorandum of Economic and Financial Policies (the “December 2016 MEFP”) and the Technical Memorandum of Understanding (the “December 2016 TMU”), shall be attached to the SCF Arrangement and the letter dated February 29, 2016 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya shall be read as supplemented and modified by the December 2016 Letter and its attachments.

3. Accordingly, the SCF Arrangement shall be amended as follows:
 - a. In paragraph 2(c) of the SCF Arrangement, “May 15, 2017” shall be replaced with “June 15, 2017”;
 - b. In paragraph 2(d) of the SCF Arrangement, “November 15, 2017” shall be replaced with “December 15, 2017”;
 - c. In paragraph 3(a) of the SCF Arrangement, the performance criteria for end-June 2017 shall be as specified in Table 1 of the December 2016 MEFP and further specified in the December 2016 TMU;
 - d. In paragraph 3(a) of the SCF Arrangement, “Table 3 of the MEFP and further specified in the TMU” shall be replaced with “Table 1 of the December 2016 MEFP and further specified in the December 2016 TMU”;

- e. In paragraph 3(b) of the SCF Arrangement, "May 14, 2017" shall be replaced with "June 14, 2017", and "November 14, 2017" shall be replaced with "December 14, 2017";
 - f. In paragraph 4(a) of the SCF Arrangement, "Table 3 of the MEFP and further specified in the TMU" shall be replaced with "Table 1 of the December 2016 MEFP and further specified in the December 2016 TMU";
 - g. In paragraph 5 of the SCF Arrangement "Paragraph 12 of the TMU and Table 3 of the MEFP" shall be replaced with "paragraph 12 of the December 2016 TMU and Table 1 of the December 2016 MEFP";
 - h. In paragraph 6(ii) of the SCF Arrangement, "May 14, 2017" shall be replaced with "June 14, 2017";
 - i. In paragraph 6(iii) of the SCF Arrangement, "November 14, 2017" shall be replaced with "December 14, 2017".
4. The Fund decides that the first review contemplated in paragraph 3(b) of the SCF Arrangement for Kenya is completed, and that Kenya may request the disbursement of the second disbursement referred to in paragraph 2 (b) of the SCF Arrangement.

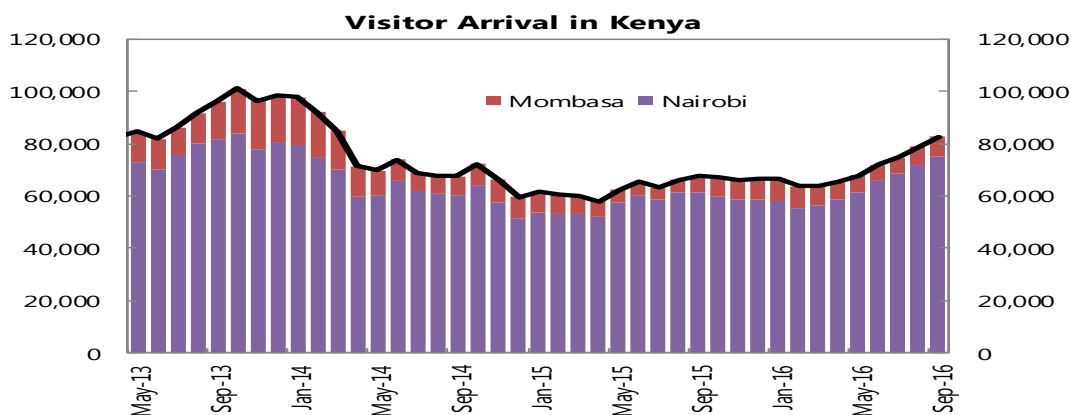
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Figure 1. Kenya: Real Sector

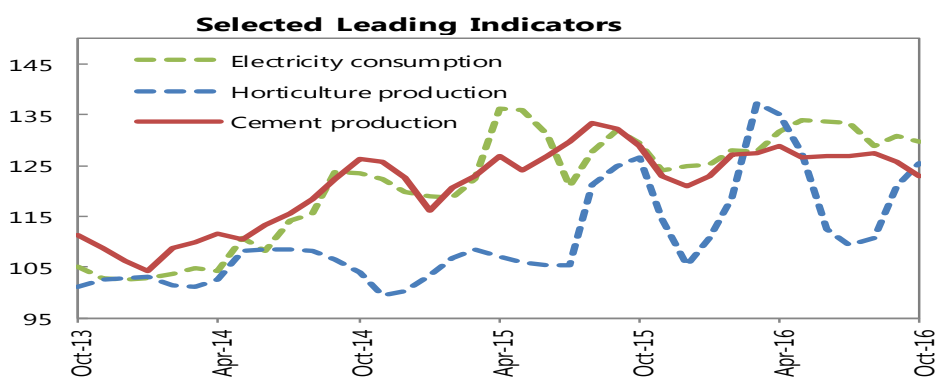
Growth has remained robust to date...



...with visitor arrivals starting to recover...

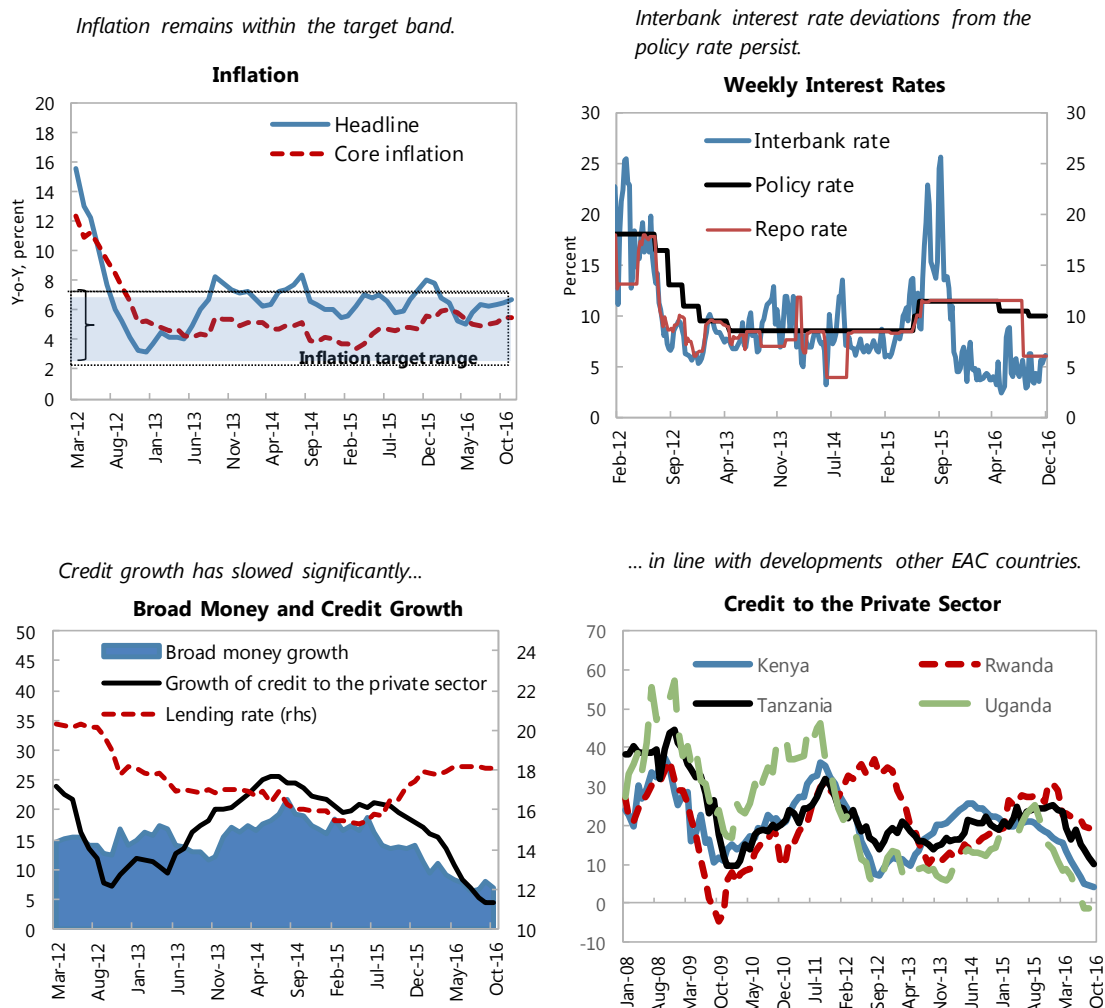


...and high frequency indicators suggesting continued strong momentum.



Source: Kenyan authorities and IMF staff estimates.

Figure 2. Kenya: Monetary Sector

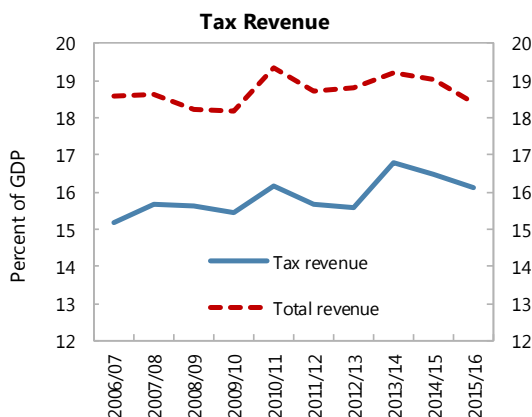


Source: Bloomberg; Kenyan authorities; and IMF staff estimates.

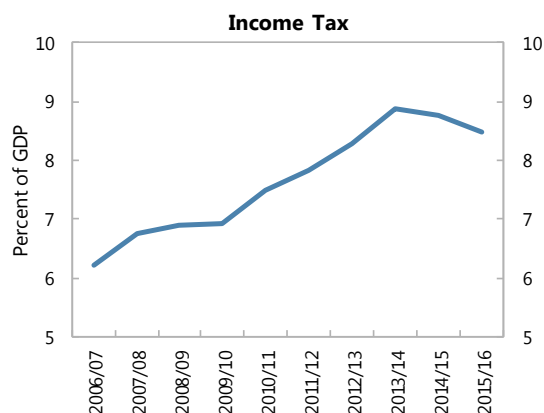
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Figure 3. Kenya: Fiscal Operations¹

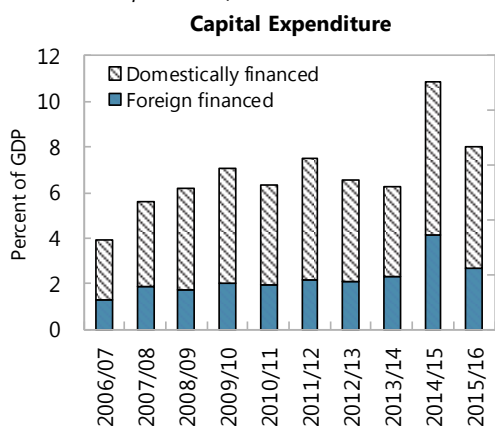
Revenue collection has declined in recent years...



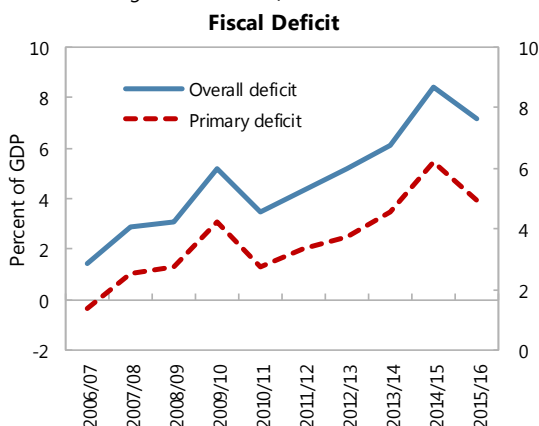
... as reflected in recent challenges in PIT collection.



But reduced capital spending has more than compensated for the revenue decline...



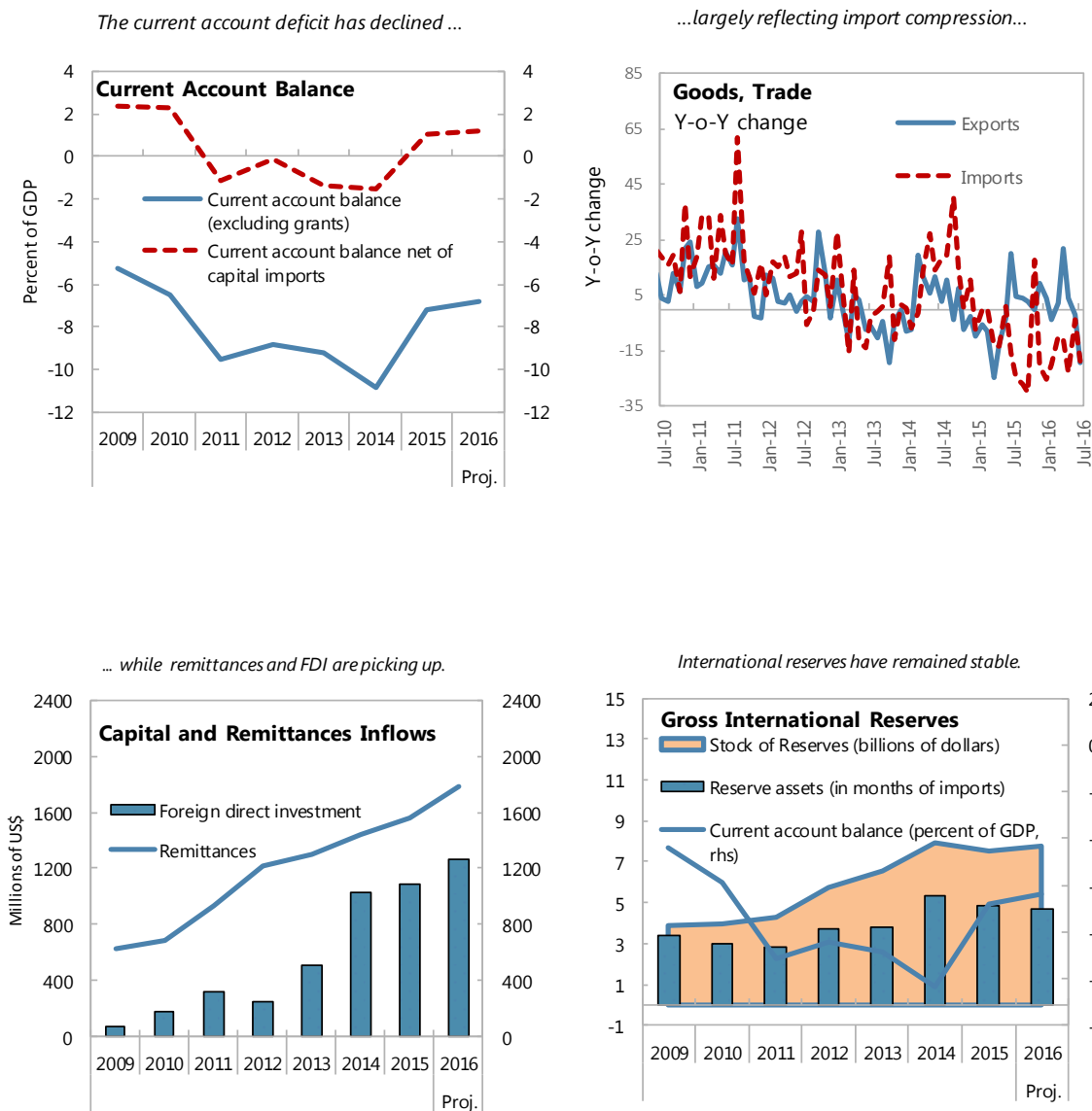
... leading to a lower deficit in 2015/16.



Source: Kenyan authorities and IMF staff estimates.

¹ For years 2012/13 and 2013/14, the charts are referring to general government.

Figure 4. Kenya External Sector

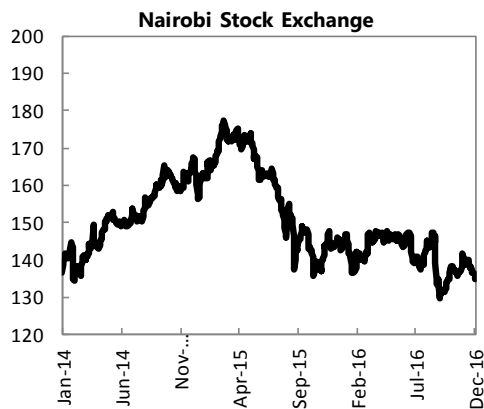


Sources: Kenyan authorities and IMF staff estimates.

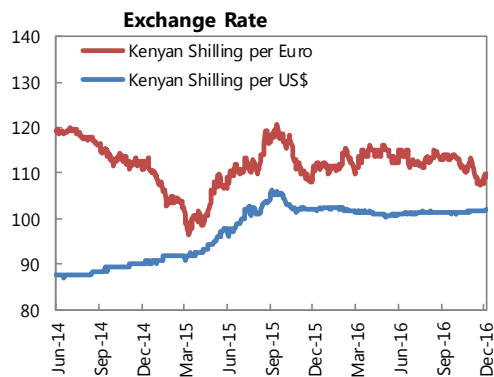
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Figure 5. Kenya: Financial Developments

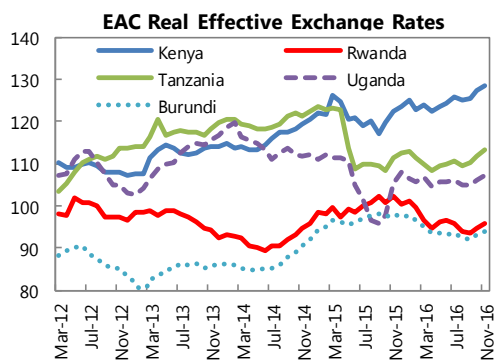
Stock market growth has turned negative.



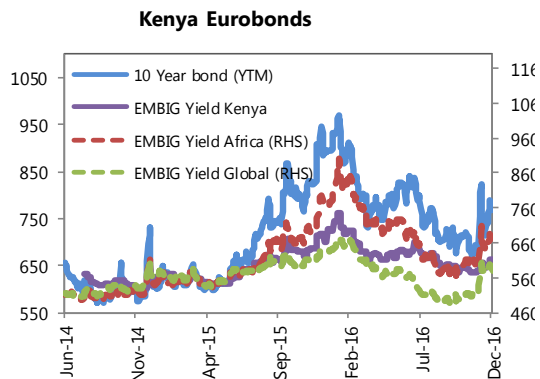
The shilling has stabilized against the U.S.\$ since



...and the REER is currently at end-2014

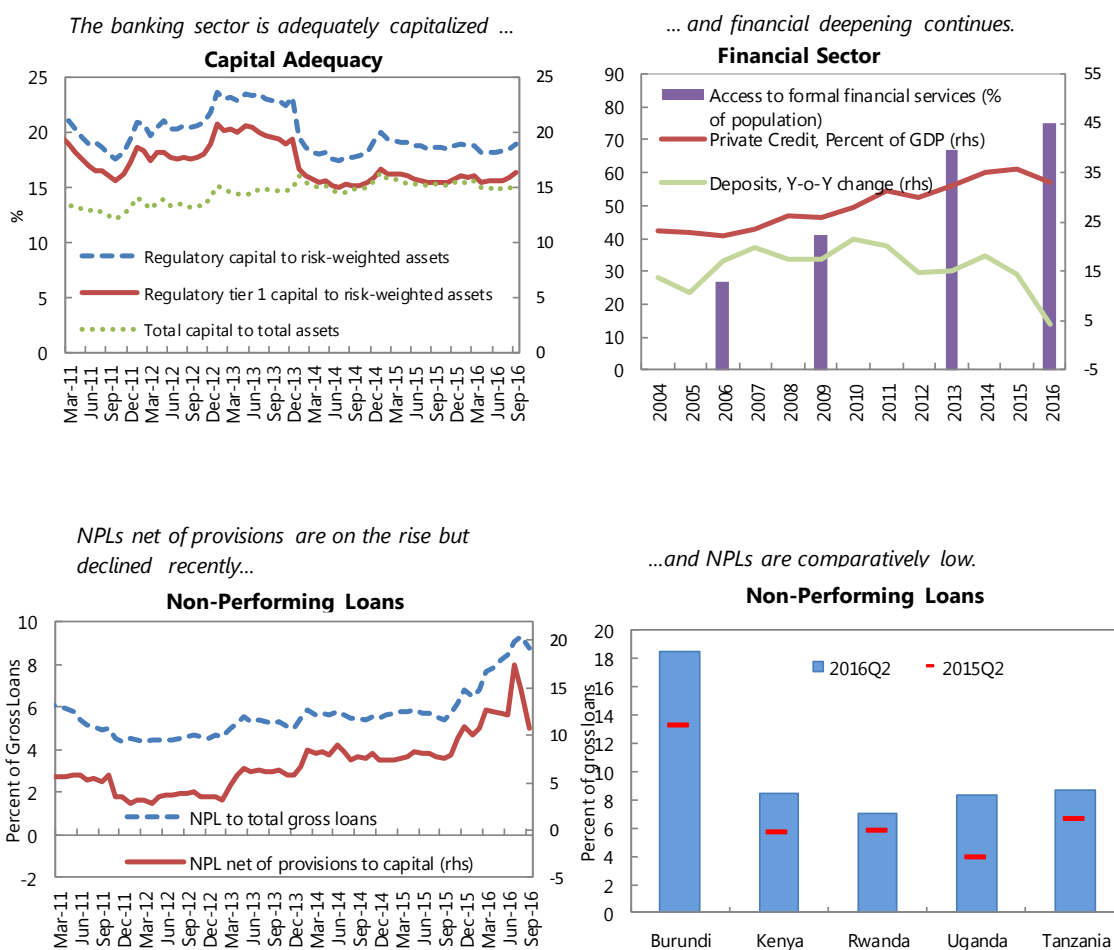


The recent decline in Kenya bond yields is in line with global trends.



Source: Bloomberg; IMF staff estimates.

Figure 6. Kenya: Financial Sector



Source: CBK and IMF staff estimates.

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Table 1a. Kenya: Selected Economic Indicators, 2013/14–2019/20

	2014/15	2015/16		2016/17		2017/18	2018/19	2019/20
	Act.	Prog.	Prel.	Prog.	Proj.	Proj.		
(Annual percentage change, unless otherwise indicated)								
Output, prices, and exchange rate								
Real GDP	5.5	5.8	5.8	6.1	5.6	5.5	6.0	6.3
GDP deflator	8.6	6.8	7.5	6.2	5.9	5.5	5.4	5.4
CPI (period average)	6.6	6.9	6.5	6.0	6.4	5.8	5.0	5.0
CPI (end of period)	7.0	6.3	5.8	5.7	6.5	5.0	5.0	5.0
Core inflation (period average) ²	4.4	5.8	5.4	5.7	5.0	5.2	5.0	5.0
Exports volume	-2.5	1.9	-1.5	3.1	7.4	7.2	7.6	7.0
Imports volume	3.2	9.3	1.6	4.5	4.1	6.0	7.2	7.3
Exchange rate (Kenyan shilling/US\$)	92.7	.	102.1	.	.	.	.	.
Real effective exchange rate (depreciation, -)	6.0	.	1.2	.	.	.	.	.
Money and credit								
Broad money (M3)	18.6	14.6	7.9	14.2	10.5	.	.	.
Reserve money	14.9	13.1	4.9	14.5	10.8	.	.	.
Credit to non-government sector	20.3	15.3	8.6	17.2	6.0	.	.	.
Policy rate	10.0	.	10.5	.	.	.	.	.
M3/GDP (percent)	44.4	45.4	41.8	46.0	40.9	.	.	.
NPLs (percent of total gross loans)	5.7	.	8.4	.	.	.	.	.
(Percent of GDP, unless otherwise indicated)								
Central government budget								
Total revenue and grants	19.7	20.4	19.2	20.7	21.0	21.2	21.4	21.4
Tax revenues	16.7	17.3	16.3	17.6	17.0	17.4	17.6	17.6
Non-tax revenues	2.6	2.6	2.5	2.7	3.4	3.2	3.2	3.2
Grants	0.5	0.4	0.4	0.4	0.5	0.6	0.6	0.6
Expenditure	28.5	28.4	27.1	27.4	27.9	27.4	26.1	25.4
Current	19.6	19.7	19.6	19.2	19.9	19.8	19.0	18.5
Capital	8.8	8.6	7.2	8.2	8.0	7.4	7.0	6.8
Unidentified measures	0.0	0.0	0.0	0.3	0.0	0.3	1.0	0.6
Primary balance	-5.5	-5.0	-4.2	-3.4	-3.8	-2.6	-0.5	-0.2
Excluding SGR (phase 1) related spending	-3.4	-3.0	-3.4	-2.0	-2.8	-1.7	-0.5	-0.2
Overall balance	-8.5	-8.0	-7.5	-6.5	-6.9	-5.9	-3.7	-3.4
Excluding SGR (phase 1) related spending	-6.4	-6.1	-6.7	-5.1	-6.0	-5.0	-3.7	-3.4
Excluding grants	-9.0	-8.4	-7.9	-6.9	-7.5	-6.5	-4.3	-4.0
Net domestic borrowing	4.4	3.0	3.3	2.6	4.3	3.0	2.6	1.8
Public debt ³								
Public gross nominal debt	48.7	52.1	54.1	54.2	52.5	53.3	52.3	51.1
Public net nominal debt	44.5	50.0	47.9	52.2	49.4	51.3	50.4	49.2
of which : external public debt	24.0	28.8	26.6	30.7	26.1	27.3	26.3	25.9
Public gross debt, PV	43.4	47.0	47.5	48.4	48.8	48.8	47.9	46.2
Public net debt, PV	39.1	45.0	41.3	46.4	45.7	46.8	45.9	44.3
Gross domestic debt	24.7	23.3	27.6	23.5	26.4	26.0	26.0	25.2
Investment and saving								
Investment	22.6	23.7	20.5	23.9	20.9	20.8	21.8	21.4
General government	9.8	9.8	8.5	9.7	9.6	9.3	9.0	8.4
Nongovernment	12.8	13.9	12.0	14.2	11.3	11.5	12.8	12.9
Saving	12.9	14.4	15.7	16.5	15.4	15.2	16.2	15.9
General government	1.0	1.9	0.6	2.8	2.1	2.5	4.1	4.1
Nongovernment	11.9	12.5	15.1	13.7	13.3	12.7	12.1	11.8
External sector								
Exports (goods and services)	16.8	18.0	16.4	17.7	17.1	17.6	18.0	18.3
Imports (goods and services)	-31.3	-32.6	-25.1	-30.4	-25.6	-26.1	-26.3	-26.5
Current account balance (including grants)	-9.6	-9.3	-4.8	-7.3	-5.5	-5.6	-5.5	-5.5
Gross international reserves								
In billions of US\$	7.2	7.7	8.3	8.0	8.9	9.1	9.5	9.1
In months of next year imports	5.2	4.5	5.4	4.5	5.3	4.9	4.7	4.2
Memorandum items:								
GDP at current market prices								
Billion of Kenyan shillings	5,751	6,444	6,586	7,259	7,435	8,236	9,202	10,303
US\$ billion	62.6	63.0	66.3	66.8	72.0	77.9	84.2	91.3
GDP per capita (nominal US\$)	1,435	1,404	1,478	1,447	1,562	1,644	1,729	1,825

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal years are from July 1 to June 30.

² Excluding food and fuel.

³ Excludes guaranteed debt and other contingent liabilities.

Table 1b. Kenya: Selected Economic Indicators, 2014–20

	2015	2016		2017		2018	2019	2020
	Act.	Prog.	Proj.	Prog.	Proj.	Proj.		
(Annual percentage change, unless otherwise indicated)								
Output, prices, and exchange rate								
Real GDP	5.6	6.0	6.0	6.1	5.3	5.8	6.2	6.5
GDP deflator	9.1	6.7	6.0	5.8	5.8	5.4	5.5	5.3
CPI (period average)	6.6	6.6	6.3	5.7	6.3	5.2	5.0	5.0
CPI (end of period)	8.0	5.8	6.0	5.5	5.9	5.0	5.0	5.0
Core inflation (period average) ¹	4.4	5.8	5.4	5.7	5.0	5.2	5.0	5.0
Exports volume	-11.1	-0.2	7.8	6.5	7.8	7.8	7.5	7.1
Imports volume	0.0	9.7	3.2	-0.1	4.9	7.1	7.2	7.4
Exchange rate (Kenyan shilling/US\$)	97.8	.	.	.	.	.	.	.
Real effective exchange rate (depreciation, -)	4.7	.	.	.	.	.	.	.
Money and credit								
Broad money (M3)	14.1	17.4	4.4	.	14.7	.	.	.
Reserve money	3.4	13.6	4.3	.	12.9	.	.	.
Credit to non-government sector	17.8	16.3	4.0	.	6.7	.	.	.
Policy rate	11.5	.	.	.	.	.	.	.
M3/GDP (percent)	42.7	45.5	39.7	.	40.9	.	.	.
NPLs (percent of total gross loans)	6.8	.	.	.	.	.	.	.
(Percent of GDP, unless otherwise indicated)								
Central government budget								
Total revenue and grants	19.5	20.5	20.3	20.7	21.1	21.3	21.4	21.4
Tax revenues	16.5	17.4	17.0	17.6	17.2	17.5	17.6	17.6
Non-tax revenues	2.5	2.7	2.9	2.7	3.3	3.2	3.2	3.2
Grants	0.5	0.4	0.5	0.4	0.6	0.6	0.6	0.6
Expenditure	27.8	27.9	27.5	26.9	27.6	26.7	25.7	25.4
Current	19.6	19.5	19.6	19.0	19.9	19.4	18.8	18.5
Capital	8.0	8.4	7.8	7.9	7.7	7.2	6.9	6.8
Unidentified measures	0.0	0.1	0.1	0.5	0.1	0.6	0.8	0.6
Primary balance	-4.9	-4.2	-3.8	-2.7	-3.2	-1.5	-0.3	-0.2
Excluding SGR (phase 1) related spending	-3.4	-2.4	-2.8	-2.1	-2.7	-1.2	-0.2	0.0
Overall balance	-8.0	-7.2	-7.0	-5.7	-6.4	-4.8	-3.5	-3.4
Excluding SGR (phase 1) related spending	-6.5	-5.5	-5.9	-5.2	-5.9	-4.4	-3.3	-3.2
Excluding grants	-8.5	-7.7	-7.4	-6.1	-7.0	-5.4	-4.1	-4.0
Net domestic borrowing	3.9	2.8	3.4	2.6	3.7	2.8	2.2	1.8
Public debt ²								
Public gross nominal debt	52.4	53.1	54.4	54.4	54.7	54.4	52.9	51.2
Public net nominal debt	47.2	51.1	49.8	52.4	52.1	52.4	51.0	49.3
of which : external public debt	26.4	29.7	27.4	30.8	28.3	28.3	27.2	26.8
Public gross debt, PV	46.3	48.3	48.7	48.5	49.0	48.6	47.1	45.3
Public net debt, PV	41.0	45.7	44.1	46.5	46.4	46.6	45.2	43.5
Gross domestic debt	26.0	23.4	27.0	23.6	26.4	26.1	25.7	24.4
Investment and saving								
Investment	21.0	23.8	21.2	23.8	19.9	21.8	21.6	21.2
General government	9.1	9.8	9.1	9.6	9.5	9.2	8.7	8.2
Nongovernment	11.9	14.1	12.1	14.2	10.4	12.7	12.9	13.0
Saving	14.2	15.8	15.7	17.1	14.2	16.3	16.1	15.7
General government	0.8	2.4	1.4	3.4	2.3	3.4	4.1	4.3
Nongovernment	13.4	13.4	14.3	13.7	11.8	12.9	11.9	11.5
External sector								
Exports (goods and services)	16.5	17.6	15.8	17.8	16.4	17.0	17.3	17.6
Imports (goods and services)	-30.8	-31.0	-24.1	-29.9	-24.5	-25.2	-25.3	-25.5
Current account balance (including grants)	-6.8	-8.0	-5.5	-6.7	-5.7	-5.6	-5.5	-5.5
Gross international reserves								
In billions of US\$	7.5	7.8	7.8	8.3	8.5	9.4	9.4	10.0
In months of next year imports	5.1	4.5	4.8	4.5	4.8	4.9	4.5	4.4
Memorandum items:								
GDP at current market prices								
Billion of Kenyan shillings	6,224	6,839	6,993	7,680	7,784	8,673	9,711	10,888
US\$ billion	63.6	64.6	68.9	69.0	75.1	80.7	87.7	95.0
GDP per capita (nominal US\$)	1,439	1,420	1,516	1,475	1,607	1,681	1,776	1,873

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Excluding food and fuel.

² Excludes guaranteed debt and other contingent liabilities.

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Table 2a. Kenya: Central Government Financial Operations, 2014/15–2019/20¹

	2014/15	2015/16		2016/17		2017/18	2018/19	2019/20
	Act.	Prog.	Prelim.	Prog.	Proj.		Proj.	
	(in billions of Kenyan Shillings, unless otherwise indicated)							
Revenues and grants	1,133.8	1,313.2	1,267.5	1,499.5	1,558.5	1,743.1	1,971.2	2,204.0
Revenue	1,106.4	1,285.6	1,237.9	1,469.8	1,518.5	1,691.6	1,914.0	2,142.8
Tax revenue	958.2	1,115.9	1,073.9	1,275.8	1,267.3	1,430.9	1,621.1	1,813.5
Income tax	508.6	585.6	566.0	666.1	659.8	747.3	837.4	937.6
Personal income	279.8	n.a.	312.0	n.a.	361.9	411.8	460.1	515.2
Corporate income	228.8	n.a.	254.0	n.a.	297.9	335.5	377.3	422.4
Import duty (net)	74.0	86.4	79.2	97.2	90.4	102.4	113.2	125.4
Excise duty	115.9	143.6	139.5	171.7	178.4	197.4	228.8	258.7
Value-added tax	259.7	300.3	289.2	341.0	338.7	383.8	441.7	491.8
Domestic	127.9	n.a.	160.4	n.a.	191.2	213.2	248.5	278.2
Imports	131.8	n.a.	128.8	n.a.	147.5	170.6	193.2	213.6
Nontax revenue	148.2	169.8	163.9	194.0	251.2	260.6	292.9	329.3
Investment income	13.5	21.1	19.3	23.8	31.4	17.7	19.7	22.1
Other	59.6	70.1	65.0	79.8	75.9	86.4	97.9	111.3
Ministerial and Departmental Fees (AIA)	56.7	58.5	62.4	65.9	125.0	135.3	151.2	169.3
Railway Levy	18.4	20.0	17.3	24.5	18.9	21.3	24.0	26.6
Grants	27.4	27.6	29.6	29.7	40.1	51.5	57.2	61.2
Project grants	22.3	19.9	24.1	22.4	32.7	44.9	50.2	56.2
Program grants	3.8	6.4	4.3	6.1	6.4	6.1	6.1	5.0
Expenditure and net lending	1,640.3	1,828.2	1,781.9	1,991.2	2,074.6	2,252.9	2,402.2	2,613.9
Recurrent expenditure	1,126.3	1,256.6	1,291.6	1,383.2	1,465.9	1,621.6	1,738.1	1,892.7
Transfer to counties	229.3	264.2	264.0	284.8	284.8	304.2	328.5	354.9
Interest payments	172.9	195.8	215.3	223.5	231.0	273.9	292.5	329.6
Domestic interest	139.6	153.8	172.9	166.9	172.6	204.6	215.2	247.2
Foreign interest due	33.3	42.0	42.5	56.6	58.4	69.3	77.3	82.4
Wages and benefits (civil service)	298.0	333.5	319.3	360.8	344.8	398.8	434.7	456.4
Civil service reform	1.0	1.0	0.0	1.5	1.5	0.0	0.0	0.0
Pensions and Other Consolidated Fund Services	38.2	47.4	53.4	56.1	60.2	76.6	86.4	99.4
Defense and NSIS	93.7	112.5	113.7	117.2	125.2	125.6	129.5	133.9
Other	293.1	302.2	325.8	339.3	418.5	442.5	466.4	518.5
Development and net lending	508.6	558.6	479.0	596.2	597.7	618.5	650.3	706.1
Domestically financed	266.0	326.9	301.3	349.3	400.8	365.4	412.0	433.8
Foreign financed	240.4	224.5	175.5	244.3	194.7	247.6	232.1	265.3
of which: SGR (phase 1) project	123.5	118.2	52.4	101.6	73.6	72.0	0.0	0.0
Overall balance (cash basis, incl. grants)	-489.6	-515.0	-492.1	-491.7	-516.1	-509.8	-431.0	-409.9
Adjustments to cash basis	16.9	0.0	22.4	0.0	0.0	0.0	0.0	0.0
Unidentified measures (deficit reducing)	0.0	0.0	0.0	20.5	0.0	24.3	91.9	61.8
Overall balance including measures (cash basis, incl. grants)	-489.6	-515.0	-492.1	-471.3	-516.1	-485.5	-339.0	-348.1
Overall balance excluding SGR (phase 1) related expenditure	-366.1	-396.8	-439.7	-369.6	-442.5	-413.5	-339.0	-348.1
Statistical discrepancy	19.1	0.0	-17.5	0.0	0.0	0.0	0.0	0.0
Financing	470.5	515.0	474.6	471.3	516.1	485.5	339.0	348.1
Net foreign financing	216.5	309.3	269.9	278.3	194.1	238.5	102.0	158.5
Disbursements	296.7	352.3	305.0	330.1	323.1	302.7	251.9	234.7
Project loans	94.7	86.4	99.0	120.4	88.5	130.7	181.9	209.2
Program loans	3.5	8.2	8.6	0.0	7.4	0.0	0.0	0.0
Commercial borrowing ²	75.0	139.5	145.0	108.1	153.7	100.0	70.0	25.5
Standard Gauge Railway (phase 1) loan from China	123.5	118.2	52.4	101.6	73.6	72.0	0.0	0.0
Repayments due	-80.2	-43.0	-35.1	-51.7	-129.0	-64.2	-149.9	-76.1
Net domestic financing	254.0	205.7	204.6	192.8	321.9	247.1	237.0	189.6
Memorandum items:								
Nominal GDP	5,751.1	6,443.5	6,586.1	7,259.4	7,434.6	8,236.4	9,201.9	10,303.3
Primary balance incl. grants	-316.7	-319.2	-276.7	-247.8	-285.1	-211.6	-46.5	-18.6
Primary balance excluding SGR (phase 1) expenditure (incl. grants)	-193.2	-201.0	-224.4	-146.2	-211.5	-139.6	-46.5	-18.6
Cyclically adjusted Primary balance incl. grants	-318.6	-317.4	-282.9	-246.2	-294.0	-219.9	-57.5	-35.1
Total gross public debt, gross	2,799.8	3,356.8	3,564.3	3,933.4	3,906.8	4,393.2	4,815.5	5,261.5
of which: external debt ³	1,379.4	1,853.6	1,749.2	2,226.2	1,943.2	2,250.7	2,422.2	2,663.8
of which: domestic debt	1,420.4	1,503.2	1,815.1	1,707.2	1,963.6	2,142.5	2,393.3	2,597.7
Total net public debt ⁴	2,557.5	3,223.2	3,155.9	3,787.8	3,671.9	4,226.1	4,634.7	5,065.8

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal year runs from July to June.² Includes proceeds from (i) syndicated loans and (ii) planned sovereign bonds.³ External debt excludes guarantees.⁴ Total net debt in 2013/14 includes proceeds from US\$2.0bn Eurobond.

Table 2b. Kenya: Central Government Financial Operations, 2014/15–2019/20¹
(percent of GDP)

	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20		
	Act.	Prog.	Prelim.	Prog.	Proj.	Proj.		
	(in percent of GDP, unless otherwise indicated)							
Revenues and grants	19.7	20.4	19.2	20.7	21.0	21.2	21.4	21.4
Revenue	19.2	20.0	18.8	20.2	20.4	20.5	20.8	20.8
Tax revenue	16.7	17.3	16.3	17.6	17.0	17.4	17.6	17.6
Income tax	8.8	9.1	8.6	9.2	8.9	9.1	9.1	9.1
Personal income	4.9	n.a.	4.7	n.a.	4.9	5.0	5.0	5.0
Corporate income	4.0	n.a.	3.9	n.a.	4.0	4.1	4.1	4.1
Import duty (net)	1.3	1.3	1.2	1.3	1.2	1.2	1.2	1.2
Excise duty	2.0	2.2	2.1	2.4	2.4	2.4	2.5	2.5
Value-added tax	4.5	4.7	4.4	4.7	4.6	4.7	4.8	4.8
Domestic	2.2	n.a.	2.4	n.a.	2.6	2.6	2.7	2.7
Imports	2.3	n.a.	2.0	n.a.	2.0	2.1	2.1	2.1
Nontax revenue	2.6	2.6	2.5	2.7	3.4	3.2	3.2	3.2
Investment income	0.2	0.3	0.3	0.3	0.4	0.2	0.2	0.2
Other	1.0	1.1	1.0	1.1	1.0	1.0	1.1	1.1
Ministerial and Departmental Fees (AIA)	1.0	0.9	0.9	0.9	1.7	1.6	1.6	1.6
Grants	0.5	0.4	0.4	0.4	0.5	0.6	0.6	0.6
Project grants	0.4	0.3	0.4	0.3	0.4	0.5	0.5	0.5
Program grants	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.0
Expenditure and net lending	28.5	28.4	27.1	27.4	27.9	27.4	26.1	25.4
Recurrent expenditure	19.6	19.5	19.6	19.1	19.7	19.7	18.9	18.4
Transfer to counties	4.0	4.1	4.0	3.9	3.8	3.7	3.6	3.4
Interest payments	3.0	3.0	3.3	3.1	3.1	3.3	3.2	3.2
Domestic interest	2.4	2.4	2.6	2.3	2.3	2.5	2.3	2.4
Foreign interest due	0.6	0.7	0.6	0.8	0.8	0.8	0.8	0.8
Wages and benefits (civil service)	5.2	5.2	4.8	5.0	4.6	4.8	4.7	4.4
Pensions and Other Consolidated Fund Services	0.7	0.7	0.8	0.8	0.8	0.9	0.9	1.0
Other	5.1	4.7	4.9	4.7	5.6	5.4	5.1	5.0
Development and net lending	8.8	8.7	7.3	8.2	8.0	7.5	7.1	6.9
Domestically financed	4.6	5.1	4.6	4.8	5.4	4.4	4.5	4.2
Foreign financed	4.2	3.5	2.7	3.4	2.6	3.0	2.5	2.6
of which: SGR (phase 1) project	2.1	1.8	0.8	1.4	1.0	0.9	0.0	0.0
Overall Balance (incl. grants)	-8.8	-8.0	-7.8	-6.7	-6.9	-6.2	-4.7	-4.0
Adjustments to cash basis	0.3	0.0	0.3	0.0	0.0	0.0	0.0	0.0
Overall balance (cash basis, incl. grants)	-8.5	-8.0	-7.5	-6.8	-6.9	-6.2	-4.7	-4.0
Unidentified measures (deficit reducing)	0.0	0.0	0.0	0.3	0.0	0.3	1.0	0.6
Overall balance incl. measures and grants (cash basis)	-8.5	-8.0	-7.5	-6.5	-6.9	-5.9	-3.7	-3.4
Overall balance incl. measures and excl. SGR (phase 1) related spending	-6.4	-6.2	-6.7	-5.1	-6.0	-5.0	-3.7	-3.4
Statistical discrepancy	0.3	0.0	-0.3	0.0	0.0	0.0	0.0	0.0
Financing	8.2	8.0	7.2	6.5	6.9	5.9	3.7	3.4
Net foreign financing	3.8	4.8	4.1	3.8	2.6	2.9	1.1	1.5
Disbursements	5.2	5.5	4.6	4.5	4.3	3.7	2.7	2.3
Project loans	1.6	1.3	1.5	1.7	1.2	1.6	2.0	2.0
Program loans	0.1	0.1	0.1	0.0	0.1	0.0	0.0	0.0
Commercial borrowing ²	1.3	2.2	2.2	1.5	2.1	1.2	0.8	0.2
Standard Gauge Railway (phase 1) loan from China	2.1	1.8	0.8	1.4	1.0	0.9	0.0	0.0
Repayments due	-1.4	-0.7	-0.5	-0.7	-1.7	-0.8	-1.6	-0.7
Net domestic financing	4.4	3.2	3.1	2.7	4.3	3.0	2.6	1.8
<i>Memorandum items:</i>								
Primary balance incl. grants (Central government)	-5.5	-5.0	-4.2	-3.4	-3.8	-2.6	-0.5	-0.2
Primary balance excluding SGR (phase 1) expenditure (incl. grants)	-3.4	-3.1	-3.4	-2.0	-2.8	-1.7	-0.5	-0.2
Cyclically adjusted Primary balance incl. grants (in percent of potential GDP)	-5.5	-4.9	-4.3	-3.4	-4.0	-2.7	-0.6	-0.3
Total gross public debt, gross	48.7	52.1	54.1	54.2	52.5	53.3	52.3	51.1
of which: external debt ³	24.0	28.8	26.6	30.7	26.1	27.3	26.3	25.9
of which: domestic debt	24.7	23.3	27.6	23.5	26.4	26.0	26.0	25.2
Total gross public debt, PV	43.4	47.0	47.5	48.4	48.8	48.8	47.9	46.2
Total net public debt ⁴	44.5	50.0	47.9	52.2	49.4	51.3	50.4	49.2
Government deposits (in months of domestically financed expenditures)	1.0	1.0	3.1	1.5	1.5	1.0	1.0	1.0

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal year runs from July to June.² Includes proceeds from (i) syndicated loans and (ii) planned sovereign bonds.³ External debt excludes guarantees.⁴ Total net debt in 2013/14 includes proceeds from US\$2.0bn Eurobond.

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Table 3. Kenya: Monetary Survey, September 2015–June 2017

	Sep-15	Dec-15	Mar-16		Jun-16		Sep-16		Dec-16		Mar-17	Jun-17
	Act.	Act.	Prog.	Act.	Prog.	Act.	Prog.	Prelim.	Prog.	Proj.	Proj.	Proj.
(In billions of Kenyan shillings, unless otherwise indicated)												
Central Bank of Kenya (CBK)												
Net foreign assets	529	621	663	641	671	690	667	687	716	697	727	832
(in millions of US dollars) ^{1 2}	5,027	6,073	6,299	6,323	6,375	6,829	6,337	6,786	6,798	6,833	7,081	8,045
Net domestic assets	-153	-229	-272	-239	-251	-300	-240	-294	-270	-288	-296	-400
Net domestic credit	16	-65	-96	-89	-79	-152	-48	-148	-79	-136	-141	-238
Government (net)	47	-44	0	-81	16	-155	16	-190	16	-179	-151	-205
Commercial banks (net)	-31	-22	-99	-8	-98	3	-67	42	-97	40	7	-36
Other items (net)	-168	-164	-176	-150	-171	-149	-191	-147	-191	-152	-156	-162
Reserve money	377	392	391	402	421	390	428	393	446	409	430	432
Currency outside banks	175	191	159	183	179	188	176	187	189	179	193	180
Bank reserves	202	201	232	219	241	202	252	206	257	230	237	252
Banks												
Net foreign assets	-140	-130	-133	-169	-135	-132	-138	-95	-140	-103	-106	-110
(in millions of US dollars)	-1,329	-1,270	-1,259	-1,671	-1,284	-1,306	-1,309	-941	-1,334	-1,011	-1,036	-1,061
Reserves	202	201	232	219	241	202	252	206	257	230	237	252
Credit to CBK	31	22	99	8	98	-3	67	-42	97	-40	-7	36
Net domestic assets	2,263	2,344	2,380	2,400	2,477	2,476	2,620	2,476	2,639	2,469	2,508	2,625
Net domestic credit	2,735	2,834	2,913	2,901	3,027	3,008	3,190	3,038	3,240	3,070	3,136	3,253
Government (net)	507	568	603	624	596	715	627	707	610	714	743	825
Other public sector	52	50	46	49	46	50	46	51	46	51	51	51
Private sector	2,177	2,216	2,264	2,227	2,386	2,242	2,516	2,280	2,583	2,305	2,342	2,377
Other items (net)	-472	-490	-533	-501	-550	-532	-570	-562	-601	-601	-628	-627
Total deposits	2,356	2,438	2,578	2,457	2,682	2,543	2,801	2,545	2,853	2,557	2,632	2,804
Monetary survey												
Net foreign assets	389	491	531	471	536	558	529	592	575	594	620	722
(in millions of US dollars)	3,698	4,804	5,040	4,652	5,091	5,523	5,028	5,845	5,464	5,822	6,045	6,984
Net domestic assets	2,167	2,167	2,281	2,191	2,389	2,195	2,526	2,170	2,536	2,181	2,236	2,321
Net domestic credit	2,785	2,794	2,915	2,824	3,046	2,856	3,208	2,852	3,259	2,895	2,988	3,051
Government (net)	553	524	603	544	612	561	643	517	626	535	592	620
Other public sector	52	50	46	49	46	50	46	51	46	51	51	51
Private	2,180	2,220	2,266	2,231	2,388	2,245	2,519	2,284	2,586	2,309	2,345	2,381
Other items (net)	-619	-627	-634	-632	-657	-661	-683	-682	-722	-714	-752	-730
M1	980	1,024	1,078	1,077	1,121	1,131	1,171	1,237	1,193	1,243	1,279	1,363
Money and quasi-money (M2)	2,133	2,235	2,363	2,263	2,458	2,331	2,567	2,321	2,614	2,332	2,400	2,557
M2 plus resident foreign currency deposits (M3)	2,556	2,658	2,812	2,663	2,925	2,754	3,055	2,762	3,112	2,775	2,856	3,043
M3 plus nonbank holdings of government debt (L)	3,232	3,391	3,590	3,430	3,735	3,590	3,901	3,635	3,973	3,652	3,758	4,005
Memorandum items												
(Annual percent change unless otherwise specified)												
M2	12.7	12.8	15.4	10.5	14.9	8.9	20.3	8.8	17.4	4.3	6.1	9.7
M3	13.5	14.1	17.2	11.0	14.6	7.9	19.5	8.1	17.4	4.4	7.3	10.5
Deposits	14.3	14.4	17.2	11.7	14.3	8.4	18.9	8.0	17.4	4.9	7.1	10.2
Reserve money	16.7	3.4	12.9	16.1	13.1	4.9	13.5	4.3	13.6	4.3	7.0	10.8
Net domestic credit	23.3	20.8	19.3	15.5	15.5	8.2	15.2	2.4	17.0	3.6	5.8	6.8
Government (net)	38.3	38.2	28.3	15.7	17.1	7.4	16.3	-6.5	21.4	2.1	9.0	10.5
Private	20.6	17.8	17.5	15.5	15.3	8.6	15.4	4.8	16.4	4.0	5.1	6.0
Net domestic assets of the banking sector	20.0	17.1	17.8	13.1	12.8	3.7	16.6	0.1	17.5	0.7	2.0	5.7
NDA growth (as percent of the base period M3)	12.6	10.7	11.4	8.4	8.5	2.4	11.1	0.1	11.2	0.4	1.3	3.5
Multiplier (Average M2/RM)	5.6	5.8	5.8	5.7	5.8	5.7	5.9	5.8	5.9	5.8	5.8	5.8
Multiplier (Average M3/RM)	6.7	6.8	6.9	6.8	6.9	6.8	7.0	6.9	7.1	6.9	6.9	6.9
Velocity (GDP/M3)	2.4	2.4	2.4	2.5	2.4	2.5	2.3	2.5	2.3	2.6	2.6	2.6
Velocity (GDP/M2)	2.9	2.9	2.8	2.9	2.8	2.9	2.8	3.0	2.7	3.0	3.1	3.1
Nominal GDP growth	14.5	15.3	17.6	14.8	20.0	14.5	22.5	13.7	13.1	12.4	15.0	12.9

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ For historical data, at implicit CBK exchange rate.² Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability.

Table 4a. Kenya: Balance of Payments, 2014–20
(in millions of U.S. dollars, unless otherwise indicated)

	2015		2016		2017	2018	2019	2020
	Prog.	Act.	Prog.	Proj.	Projections			
Current account	-5,012	-4,335	-5,169	-3,792	-4,295	-4,515	-4,848	-5,223
Trade balance	-10,314	-9,603	-10,853	-8,846	-9,729	-10,427	-11,297	-12,279
Goods: exports, f.o.b.	6,427	5,997	6,245	6,215	7,015	7,749	8,514	9,318
Coffee	209	210	152	219	250	281	306	328
Tea	1,220	1,247	1,372	1,349	1,647	1,818	2,000	2,190
Horticulture	787	760	749	783	907	1,013	1,124	1,237
Other	4,211	3,779	3,973	3,864	4,211	4,638	5,084	5,563
Goods: imports, f.o.b.	16,741	15,600	17,098	15,060	16,745	18,176	19,811	21,597
Oil products	2,419	2,500	1,716	2,229	2,687	2,915	3,178	3,463
Other	14,322	13,100	15,382	12,832	14,057	15,261	16,633	18,134
Capital imports	5,581	5,432	6,356	5,207	5,722	6,303	6,963	7,718
Services balance	1,968	2,335	2,183	2,204	2,543	2,950	3,307	3,716
Services, credit	4,795	4,508	5,115	4,669	5,288	5,968	6,631	7,354
Transportation	2,054	1,819	2,111	1,862	2,108	2,386	2,666	2,940
Travel	739	726	874	857	1,101	1,417	1,683	1,981
Services, debit	2,827	2,174	2,933	2,465	2,746	3,018	3,324	3,638
Goods and services balance	-8,346	-7,269	-8,670	-6,642	-7,187	-7,476	-7,991	-8,563
Primary income, balance	-778	-507	-850	-464	-513	-616	-691	-753
Credit	185	311	303	401	556	591	666	743
Debit	963	818	1,154	865	1,069	1,208	1,357	1,496
Secondary income, balance	4,112	3,440	4,351	3,314	3,405	3,578	3,834	4,093
Credit	4,170	3,504	4,414	3,381	3,476	3,653	3,914	4,178
Remittances	1,551	1,573	1,630	1,827	1,955	2,099	2,256	2,426
Debit	59	64	63	68	71	75	80	85
Capital account	208	257	209	284	366	439	477	530
Financial account	-4,487	-5,082	-5,267	-3,812	-4,800	-5,032	-4,533	-5,450
Foreign direct investment	-1,069	-1,090	-1,497	-1,296	-1,544	-1,890	-2,034	-2,242
Direct investment, assets	217	399	283	319	322	277	300	347
Direct investment, liabilities	1,285	1,489	1,780	1,615	1,867	2,167	2,334	2,589
Portfolio investment	-434	157	-1,842	-226	-825	-776	-220	-1,015
Portfolio investment, assets	56	191	59	207	222	232	246	262
Portfolio investment, liabilities	489	34	1,901	433	1,047	1,009	467	1,277
Equity and investment fund shares	484	9	900	410	524	743	971	1,008
Debt securities	5	25	1,000	23	523	265	-505	270
Financial derivatives	0	0	0	0	0	0	0	0
Other investment	-2,984	-4,149	-1,928	-2,290	-2,430	-2,366	-2,279	-2,192
Net errors and omissions	0	-1,259	0	0	0	0	0	0
Overall balance	-318	-254	306	303	872	957	162	756
Reserves and related items	-318	-295	306	303	872	957	162	756
Reserve assets (gross)	-384	-361	239	274	752	813	7	620
Use of Fund credit and loans to the Fund (net)	-66	-66	-67	-29	-119	-144	-155	-136
Disbursements	0	0	0	0	0	0	0	0
Repayments	66	66	67	29	119	144	155	136
Memorandum items:								
Gross official reserves (end of period) ¹	7,511	7,511	7,750	7,785	8,537	9,351	9,358	9,978
(in months of next year's imports)	4.5	5.1	4.5	4.8	4.8	4.9	4.5	4.4
(in months of 3-year-rolling average imports) ²	4.6	4.8	4.6	5.0	5.6	5.8	5.3	5.2
(in percent of M3)	28.3	28.3	25.7	28.1	26.8	26.1	23.0	21.6
WEO oil price (APSP; US\$)	50.8	50.8	29.9	42.7	51.2	53.1	54.5	55.7
Terms of trade ³	8.7	9.4	3.7	2.7	-2.1	0.6	0.1	0.2

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ For end-2015, includes proceeds from commercial borrowing by the government in Q4, some of which will be drawn down in 2016Q1.

² CBK definition of reserve cover: in months of imports of goods and services over the previous 36 months (annualized rolling average).

³ Percentage change, goods and services.

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Table 4b. Kenya: Balance of Payments, 2014–20
(in percent of GDP)

	2015		2016		2017	2018	2019	2020
	Prog.	Act.	Prog.	Proj.	Projections			
Current account	-8.2	-6.8	-8.0	-5.5	-5.7	-5.6	-5.5	-5.5
Trade balance	-16.8	-15.1	-16.8	-12.8	-13.0	-12.9	-12.9	-12.9
Goods: exports, f.o.b.	10.5	9.4	9.7	9.0	9.3	9.6	9.7	9.8
Coffee	0.3	0.3	0.2	0.3	0.3	0.3	0.3	0.3
Tea	2.0	2.0	2.1	2.0	2.2	2.3	2.3	2.3
Horticulture	1.3	1.2	1.2	1.1	1.2	1.3	1.3	1.3
Other	6.9	5.9	6.2	5.6	5.6	5.7	5.8	5.9
Goods: imports, f.o.b.	27.3	24.5	26.5	21.9	22.3	22.5	22.6	22.7
Oil products	3.9	3.9	2.7	3.2	3.6	3.6	3.6	3.6
Other	23.3	20.6	23.8	18.6	18.7	18.9	19.0	19.1
Capital imports	9.1	8.5	9.8	7.6	7.6	7.8	7.9	8.1
Services balance	3.2	3.7	3.4	3.2	3.4	3.7	3.8	3.9
Services, credit	7.8	7.1	7.9	6.8	7.0	7.4	7.6	7.7
Transportation	3.3	2.9	3.3	2.7	2.8	3.0	3.0	3.1
Travel	1.2	1.1	1.4	1.2	1.5	1.8	1.9	2.1
Services, debit	4.6	3.4	4.5	3.6	3.7	3.7	3.8	3.8
Goods and services balance	-13.6	-11.4	-13.4	-9.6	-9.6	-9.3	-9.1	-9.0
Primary income, balance	-1.3	-0.8	-1.3	-0.7	-0.7	-0.8	-0.8	-0.8
Credit	0.3	0.5	0.5	0.6	0.7	0.7	0.8	0.8
Debit	1.6	1.3	1.8	1.3	1.4	1.5	1.5	1.6
Secondary income, balance	6.7	5.4	6.7	4.8	4.5	4.4	4.4	4.3
Credit	6.8	5.5	6.8	4.9	4.6	4.5	4.5	4.4
Remittances	2.5	2.5	2.5	2.7	2.6	2.6	2.6	2.6
Debit	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Capital account	0.3	0.4	0.3	0.4	0.5	0.5	0.5	0.6
Financial account	-7.3	-8.0	-8.2	-5.5	-6.4	-6.2	-5.2	-5.7
Foreign direct investment	-1.7	-1.7	-2.3	-1.9	-2.1	-2.3	-2.3	-2.4
Direct investment, assets	0.4	0.6	0.4	0.5	0.4	0.3	0.3	0.4
Direct investment, liabilities	2.1	2.3	2.8	2.3	2.5	2.7	2.7	2.7
Portfolio investment	-0.7	0.2	-2.9	-0.3	-1.1	-1.0	-0.3	-1.1
Portfolio investment, assets	0.1	0.3	0.1	0.3	0.3	0.3	0.3	0.3
Portfolio investment, liabilities	0.8	0.1	2.9	0.6	1.4	1.2	0.5	1.3
Equity and investment fund shares	0.8	0.0	1.4	0.6	0.7	0.9	1.1	1.1
Debt securities	0.0	0.0	1.5	0.0	0.7	0.3	-0.6	0.3
Financial derivatives	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investment	-4.9	-6.5	-3.0	-3.3	-3.2	-2.9	-2.6	-2.3
Net errors and omissions	0.0	-2.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	-0.5	-0.4	0.5	0.4	1.2	1.2	0.2	0.8
Reserves and related items	-0.5	-0.5	0.5	0.4	1.2	1.2	0.2	0.8
Reserve assets (gross)	-0.6	-0.6	0.4	0.4	1.0	1.0	0.0	0.7
Use of Fund credit and loans to the Fund (net)	-0.1	-0.1	-0.1	0.0	-0.2	-0.2	-0.2	-0.1
Disbursements	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Repayments	0.1	0.1	0.1	0.0	0.2	0.2	0.2	0.1
Memorandum items:								
Gross official reserves (end of period)	12.2	11.8	12.0	11.3	11.4	11.6	10.7	10.5
Exports of goods and nonfactor services	18.3	16.5	17.6	15.8	16.4	17.0	17.3	17.6
Imports of goods and nonfactor services	31.9	27.9	31.0	25.4	26.0	26.2	26.4	26.6

Sources: Kenyan authorities and IMF staff estimates and projections.

Table 5. Kenya: Financial Soundness Indicators of the Banking Sector

	Dec-10	Dec-11	Dec-12	Dec-13	Dec-14	Dec-15	Mar-16	Jun-16	Sep-16
	(Percent)								
Capital adequacy									
Regulatory capital to risk-weighted assets	20.8	19.4	21.9	23.2	19.2	18.8	18.8	18.1	19.0
Regulatory tier 1 capital to risk-weighted assets	18.7	17.3	18.9	19.4	15.9	15.7	16.0	15.6	16.3
Total capital to total assets	13.2	13.2	14.2	14.9	15.6	15.5	15.6	14.8	14.7
Asset quality									
Non-performing loans to total gross loans ¹	6.2	4.4	4.5	5.0	5.4	6.8	7.6	8.4	8.8
Bank provisions to NPLs	75.3	82.2	80.9	70.7	65.0	57.8	54.0	49.2	52.9
Non-performing loans net of provisions to capital	6.4	3.5	3.5	5.8	7.4	11.0	12.7	12.1	10.8
Earning assets to total assets	88.8	87.8	87.4	88.9	88.2	89.0	89.4	90.6	90.8
Earning and profitability									
Return on assets (ROA)	3.7	3.3	3.8	3.6	3.4	2.9	3.4	3.2	3.3
Return on equity (ROE)	30.7	32.2	34.2	28.9	26.5	23.8	27.7	27.2	27.0
Interest margin to gross income	34.7	38.6	32.7	37.2	36.0	34.0	33.3	34.5	35.1
Non-interest expenses to gross income	48.2	44.6	37.8	41.7	40.9	41.3	39.4	41.3	41.9
Liquidity									
Liquid assets to total assets	38.4	33.3	35.2	34.3	32.7	27.8	32.6	33.0	34.3
Liquid assets to short-term liabilities	44.5	37.0	41.9	38.6	37.7	38.1	39.9	40.4	42.9
liquid assets to total deposits	51.0	43.8	46.8	47.0	45.2	38.5	45.1	46.0	48.1
Total loans to total deposits	72.5	77.4	76.9	80.4	83.7	81.9	86.5	83.0	81.4
Sensitivity to market risk									
Net open position in foreign exchange to capital	4.3	3.3	2.6	2.2	4.3	3.5	3.5	2.7	4.7
Interest bearing assets to interest bearing liabilities	117.8	115.4	116.2	121.6	122.1	123.2	123.7	126.1	127.5
FX currency denominated assets to total assets	10.6	11.8	13.2	13.7	15.4	16.7	17.1	16.4	16.1
FX currency denominated liabilities to total liabilities	17.1	21.5	20.9	22.9	22.6	24.3	23.1	23.0	23.6
Spread between lending and deposit rate	9.3	8.4	10.3	8.9	8.0	7.3	8.0	8.1	8.2

Source: Central Bank of Kenya.

¹ The data for Chase Bank in receivership and Charterhouse Bank under statutory mangement have been excluded from May 2016 to September 2016.

Table 6. Kenya: Schedule of Reviews and Available Purchases, 2016–18

Availability Date	Condition	Available Purchases under the SBA		Available Loans under the SCF		Total Available Purchases and Loans	
		(SDR millions)	(Percent of quota)	(SDR millions)	(Percent of quota)	(SDR millions)	(Percent of quota)
March 14, 2016	Approve the 24-month SBA and SCF arrangements	361.867	66.67	180.933	33.33	542.800	100.00
November 15, 2016	Completion of the first SBA-SCF reviews and observance of continuous and end-June 2016 performance criteria	37.996	7.00	18.998	3.50	56.994	10.50
June 15, 2017	Completion of the second SBA-SCF reviews and observance of continuous and end-December 2016 performance	135.700	25.00	67.850	12.50	203.550	37.50
December 15, 2017	Completion of the third SBA-SCF reviews and observance of continuous and end-June 2017 performance criteria	135.700	25.00	67.850	12.50	203.550	37.50
March 5, 2018	Completion of the fourth SBA-SCF reviews and observance of continuous and end-December 2017 performance	37.996	7.00	18.998	3.50	56.994	10.50
Total available		709.259	130.67	354.629	65.33	1,063.888	196.00

Source: IMF staff estimates.

¹ Excludes amounts available under the precautionary SBA and SCF arrangements approved in 2015, which are assumed to be cancelled effective March 14, 2016 with their balances undrawn.

Table 7. Kenya: Indicators of Fund Credit, 2016–24

(in millions of SDRs)

	Projections								
	2016	2017	2018	2019	2020	2021	2022	2023	2024
Fund obligations based on existing credit (In millions of SDRs)									
Principal	13.6	85.8	103.3	111.3	97.7	91.2	50.3	21.6	0.0
Charges and interest ¹	0.0	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Obligations to the Fund from existing and prospective credit ² (In millions of SDRs)	13.6	94.4	112.7	120.8	290.5	514.5	302.3	106.2	79.6
Principal	13.6	85.8	103.3	111.3	281.6	508.1	299.9	105.1	78.8
Stand-by Arrangements (SBA)	0.0	0.0	0.0	0.0	183.9	349.9	170.8	4.8	0.0
ESF Rapid Access Component (RAC)	13.6	27.1	27.1	13.6	0.0	0.0	0.0	0.0	0.0
ECF Arrangements	0.0	58.6	76.1	97.7	97.7	91.2	50.3	21.6	0.0
SCF Arrangements	0.0	0.0	0.0	0.0	0.0	67.1	78.8	78.8	78.8
Charges and interest ¹	0.0	8.6	9.5	9.5	8.9	6.4	2.3	1.1	0.8
Obligations to the Fund from existing and prospective credit ¹									
In millions of U.S. dollars	18.9	131.3	156.8	168.0	404.1	715.7	420.4	147.7	110.8
In percent of gross international reserves	0.2	1.5	1.7	1.8	4.0	6.6	3.6	1.2	0.9
In percent of exports of goods and services	0.2	1.2	1.3	1.2	2.7	4.3	2.3	0.7	0.5
In percent of GDP	0.0	0.2	0.2	0.2	0.4	0.7	0.4	0.1	0.1
In percent of quota	2.5	17.4	20.8	22.2	53.5	94.8	55.7	19.6	14.7
Outstanding Fund credit based on existing drawings (end-of-period, all PRGT)									
In millions of SDRs	561.1	475.4	372.1	260.8	163.1	71.9	21.6	0.0	0.0
In percent of quota	103.4	87.6	68.6	48.1	30.0	13.2	4.0	0.0	0.0
Outstanding Fund credit based on existing and prospective drawings (end-of-period) ²									
In millions of SDRs	561.1	1,482.3	1,436.0	1,324.7	1,043.1	535.0	235.1	130.0	51.2
In millions of U.S. dollars	780.5	2,061.9	1,997.5	1,842.7	1,451.1	744.2	327.0	180.8	71.2
In percent of gross international reserves	10.0	24.2	21.4	19.7	14.5	6.9	2.8	1.4	0.6
In percent of exports of goods and services	7.4	18.9	16.2	13.4	9.6	4.5	1.8	0.9	0.3
In percent of GDP	1.1	2.7	2.5	2.1	1.5	0.7	0.3	0.1	0.1
In percent of quota	103.4	273.1	264.6	244.0	192.2	98.6	43.3	23.9	9.4
General Resources Account	0.0	123.7	130.7	130.7	96.8	32.3	0.9	0.0	0.0
Poverty Reduction and Growth Trust	103.4	149.4	133.9	113.4	95.4	66.2	42.4	23.9	9.4
Memorandum items:									
Nominal GDP (in billions of U.S. dollars)	68.9	75.1	80.7	87.7	95.0	103.2	112.7	122.9	134.1
Exports of goods and services (in billions of U.S. dollars)	10.5	10.9	12.3	13.7	15.1	16.7	18.3	19.9	21.7
Gross international reserves (in billions of U.S. dollars)	7.8	8.5	9.4	9.4	10.0	10.8	11.7	12.8	12.8
Quota (in millions of SDRs)	542.8	542.8	542.8	542.8	542.8	542.8	542.8	542.8	542.8

Sources: Fund staff estimates; and projections.

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Table 8. Kenya: External Financing Requirements and Sources, 2012–19

	2015		2016		2017	2018	2019
	Prog.	Act.	Prog. ¹	Proj.	Projections		
Total requirements	6,597	6,635	6,906	5,660	7,093	7,415	7,932
Current account deficit	5,012	4,335	5,169	3,792	4,295	4,515	4,848
Capital outflows	1,585	2,300	1,737	1,868	2,799	2,899	3,084
Repayments of MLT loans	1,369	1,900	1,454	1,549	2,477	2,623	2,034
Portfolio investment (sovereign bond)	0	0	0	0	0	0	750
Foreign direct investment abroad	217	399	283	319	322	277	300
Total sources	6,597	6,635	6,906	5,660	7,093	7,415	7,932
Capital inflows	6,915	6,930	6,600	5,367	6,222	6,458	7,770
Public sector	3,128	2,943	3,808	3,391	3,638	2,741	2,785
Project grants	208	257	209	284	366	439	477
Long-term loan disbursements to public sector	2,920	2,686	2,600	3,108	2,772	2,051	2,083
Portfolio investment (sovereign bond)	0	0	1,000	0	500	250	225
Private sector	3,788	3,987	2,792	1,976	2,583	3,717	4,985
Foreign direct investment in Kenya	1,285	1,489	1,780	1,615	1,867	2,167	2,334
Long-term loan disbursements to private sector	500	500	750	750	1,200	1,000	1,600
Other net inflows (including errors and omissions)	2,003	1,998	261	-389	-483	551	1,051
Financing	-318	-295	306	293	872	957	162
IMF (net)	-66	-66	-67	-19	-119	-144	-155
Disbursements	0	0	0	0	0	0	0
Repayments	66	66	67	19	119	144	155
Reserve assets (gross)	-384	-361	239	274	752	813	7
Financing gap	0	0	0	0	0	0	0
Total requirements	10.7	10.4	10.7	8.2	9.4	9.2	9.0
Total sources	10.7	10.4	10.7	8.2	9.4	9.2	9.0
Capital inflows	11.3	10.9	10.2	7.8	8.3	8.0	8.9
IMF (net)	-0.1	-0.1	-0.1	0.0	-0.2	-0.2	-0.2
Reserve assets (gross)	-0.6	-0.6	0.4	0.4	1.0	1.0	0.0

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Program projections reflect the baseline scenario, with no Fund financing.

Appendix I. Letter of Intent

Nairobi, Kenya
December 23, 2016

Ms. Christine Lagarde
Managing Director
International Monetary Fund
Washington, D.C. 20431
United States of America

Dear Ms. Lagarde:

1. Kenya's growth accelerated in the first half of the year in 2016 reaching 6.1 percent, from 5.6 percent in 2015, supported by favorable weather conditions, public infrastructure investments, lower global energy prices, and a strong recovery of tourism. Inflation has been brought within our target range (5 ± 2.5 percent) since early 2016 despite a resurgence of food prices in recent months. Our external position has strengthened, reflecting a narrowing of the current account deficit and a strong recovery of capital inflows. As a result, the Kenyan shilling has stabilized, and the CBK has accumulated international reserves, which stood at US\$8.2 billion (5.3 months of next year imports) as of end-September 2016.
2. Performance under our economic program supported by the Stand-By Arrangement (SBA) and an arrangement under the Standby Credit Facility (SCF) has been broadly satisfactory. We met all continuous and end-June quantitative performance criteria (PCs). We also met all end-March, end-June and end-September quantitative indicative targets with the exception of the end-June target on priority social spending, which was missed by a small margin (Table 1). We made significant progress towards the program's structural benchmarks, although there were delays in completing them. We propose to reset and update these benchmarks (Tables 2 and 3).
3. The outlook is for continued robust growth, lower fiscal deficits, inflation remaining within our target range, and a sustainable external current account. However, amendments to the Banking Act that became effective in September 2016 have created uncertainties as banks are adjusting to the limits set on banks' deposit and lending rates, which is expected to weigh on growth. We are closely monitoring the implementation of the new law, and are continuing with initiatives to support transparency and disclosure of all fees and charges on loans. Additional risks to the outlook are possible security threats, which could impact tourism while the impact of weather-related shocks could lower agricultural production and affect hydro power generation, thereby requiring higher imports of food and fuel products. On the external side, the highest risks emanate from the fall-out from Brexit that may create additional uncertainties for the outlook for trade and investment, and heightened volatility in global financial markets.
4. We are taking determined steps to strengthen our resilience to shocks. Our policies focus on sustaining inclusive, investment-led growth while continuing to build resilience. We remain committed to a gradual consolidation of fiscal policy, to maintain low inflation, further improve public financial management, strengthen the financial sector supervision and regulation, make

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further progress in our transition to a modern inflation targeting framework, and deepen structural reforms aimed at improving the business environment.

5. Against this background, and on the basis of our established track record of program implementation to date and the policy priorities outlined in the attached Memorandum of Economic and Financial Policies (MEFP), we request completion of the first reviews under the 24-month SBA and SCF, which continue to provide a buffer against exogenous shocks, and a policy anchor for our reform program. We also request: (i) waivers of applicability for the end-December 2016 quantitative performance criteria, given the unavailability of data for assessing these; (ii) a rephrasing of the second and third reviews under the SBA and SCF to provide sufficient time for the completion of the reviews; and (iii) a modification of the performance criterion on the primary budget balance for end-December 2016 to KSh-100 billion consistent with the higher fiscal deficit target for 2016/17. Under the rephrasing, we expect to complete the second, third, and fourth reviews on or after June 15, 2017, December 15, 2017, and March 5, 2018, respectively.

6. While we do not have balance of payments needs under our baseline projections, potential needs could materialize if major capital account, security or weather-related shocks were to hit our economy. Therefore, we intend to continue treating both arrangements as precautionary, and we do not intend to draw under these arrangements unless exogenous shocks generate an actual balance of payments financing need. We believe that the envisaged package of macroeconomic policies and structural reforms under the new program, with the performance criteria and structural benchmarks summarized in Tables 1 to 3, would significantly reduce the likelihood of potential balance of payments need after 2017/18.

7. We are confident that the policies set out in the attached MEFP will enable us to achieve our program objectives. However, we will take any further measures that may become necessary for this purpose. We will consult with the IMF on the adoption of these measures, and in advance of revisions to the policies contained in the MEFP, in accordance with the IMF's policies on such consultations. We will provide such information as the IMF may request in connection with progress in implementing our economic and financial policies. We authorize the publication of the staff report for the first reviews under the SBA and SCF arrangements, this letter of intent, and the attached MEFP and technical memorandum of understanding.

Sincerely yours,

/s/

Henry Rotich

Cabinet Secretary

The National Treasury

/s/

Patrick Njoroge

Governor

Central Bank of Kenya

Memorandum of Economic and Financial Policies
Technical Memorandum of Understanding

Attachment I. Memorandum of Economic and Financial Policies

I. BACKGROUND

- 1. The Kenyan economy has continued to perform well and inflation remains under control.** Real GDP growth reached 5.6 percent in 2015 up from 5.3 percent in 2014, accelerating further to 6.1 percent in the first half of 2016. The growth was supported by favorable weather conditions that boosted agricultural production, public investment spending, lower global oil prices and strong recovery in tourism. Inflation has remained within our target range (5 ± 2.5 percent), despite increase in food prices in recent months. Headline inflation stood at 6.7 percent in November 2016, with non-food, non-fuel inflation remaining relatively stable at around 5 percent.
- 2. Our external position has strengthened.** The current account deficit narrowed to 6.8 percent of GDP in 2015 (from 9.8 percent of GDP in 2014), and has declined further in 2016, to an estimated 5.2 percent of GDP for the 12 months to September. This reflects mainly lower international oil prices, improved tea and horticulture exports, strong remittance inflows and a recovery of tourism. The latter reflects partly improved security and the removal in 2015 of travel warnings to tourist destinations in Kenya by key tourism source markets. The narrowing of the current account deficit together with strong capital inflows have led to a stabilization of the shilling in the foreign exchange market and also allowed the CBK to accumulate international reserves, which stood at US\$7.9 billion (4.8 months of next year's imports) as of end-November 2016.
- 3. Budget deficits were reduced in 2015/16 in line with program objectives.** Total revenues declined relative to 2014/15 as a share of GDP and fell by about 1 percent of GDP short of the program target. This reflected in part lower-than-programmed personal income tax revenues, lower import volumes, and lower reported profits in the financial sector, which accounted for 28 percent of corporate income tax (CIT) collection in 2015/16. However, the revenue shortfall was more than offset by lower spending on the Standard Gauge Railway (SGR) project (by 1 percent of GDP) and domestically financed investment (0.5 percent). As a result, the overall cash deficit was 7.5 percent of GDP in 2015/16, compared to 8 percent of GDP in 2014/15 and 8 percent of GDP under the program. Financing of the budget was broadly in line with the program, with higher domestic borrowing temporarily substituting for the delayed disbursement of an external loan of about 1 percent of GDP in the second half of 2015/16. Gross public debt (in NPV terms) rose to 47 percent of GDP, as expected in the program.
- 4. The banking system remains stable despite a number of challenges.** The growth of private sector credit has slowed steadily during 2016, to 4.6 percent at end-November 2016 compared to 18 percent at end-December 2015. Gross non-performing loans (NPLs) have increased as a share of gross loans, to 8.8 percent in September 2016, from 6.8 percent in December 2015, in part reflecting our stepped-up efforts to enforce better reporting. Increases in NPLs have been particularly pronounced in the building and construction sector. In addition to the two banks that were put under receivership in 2015, a third bank (Chase Bank Ltd.) was put under receivership in April 2016. We took steps to prevent negative spillovers to the rest of the financial sector, including

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by providing additional liquidity to the banking sector. The core and total regulatory capital to risk weighted assets ratios for the banking system stood at 16.3 and 19 percent, respectively, as of end-September 2016, above the respective statutory minimums of 10.5 and 14.5 percent.

5. The Banking (Amendment) Act, 2016, that became effective in mid-September, set limits on banking lending and deposit rates. The amendment was enacted against the backdrop of public concerns on the high cost of credit. This follows two previous unsuccessful attempts to cap commercial interest rates in 2001 and 2011. Banks are in the process of adjusting their strategies and business models to the interest rate caps and we are closely monitoring the implementation of the new law. We are also continuing with initiatives to support transparency and disclosure of all fees and charges on loans. In addition, we have continued to strengthen the credit information sharing system to promote its usage in credit risk pricing by banks.

6. The precautionary SBA-SCF arrangements continue to anchor the macroeconomic policy framework, and also backstopped the foreign exchange reserve buffers. All continuous and end-June 2016 performance criteria (PCs) and the end-June inflation target under the Monetary Policy Consultation Clause (MPCC) were met (Table 1). All end-June and end-September quantitative indicative targets were also met, except for the end-June target on priority social expenditure that was missed by a small margin, due to delay in disbursement of donor commitments on the cash transfers to the elderly persons, orphans, and vulnerable children. We made significant progress towards the program's structural benchmarks, although there were delays in completing them. These are proposed to be reset and updated (Tables 2 and 3).

II. MACROECONOMIC OUTLOOK

7. The outlook is for continued robust growth, lower fiscal deficits, inflation remaining within our target range, and a sustainable external current account:

- **Real GDP.** Leading indicators suggest a continued robust pace of economic expansion, and we project real GDP growth to increase to 6 percent in 2016 (from 5.6 percent in 2015). However, private sector credit growth is expected to remain subdued as the banking system adjusts to the recent amendment to the Banking Act on deposit and lending rates. On this basis, although we believe growth will remain broadly unchanged at about 6 percent next year, to be prudent we will base the fiscal program for 2016/17 (see below) on a growth rate of 5¼ percent in 2017.
- **Inflation** is projected to remain within our target band and to gradually converge towards the mid-point of our target band in the medium term.
- Kenya's **external position** is projected to strengthen further over the program period. The current account deficit is projected at about 5.5 percent of GDP in 2016, and to remain around 5.5-6 percent over the medium term.

8. There are downside risks to the outlook. The impact of interest rate controls on the banking sector and growth is uncertain. Depending on how the banking sector reacts, it could contribute to slower credit growth, curtail access to finance for SMEs and smaller borrowers, and lower our economic growth potential. In addition, possible security threats could impact tourism while the impact of weather-related shocks could lower agricultural production and affect hydro power generation, thereby requiring higher imports of food and fuel products. On the external side, the main risks emanate from slower global and regional growth, the fall-out from Brexit that may create additional uncertainties for the outlook for trade and investment, and heightened volatility in global financial markets.

III. PROGRAM OBJECTIVES

9. Our main policy objective is to ensure the sustainability of investment-driven, inclusive growth through prudent macroeconomic management and structural reforms. We remain committed to an ambitious reform and investment plan to raise our growth potential in an inclusive and sustainable manner. The Fund-supported program continues to provide a policy anchor and provide insurance in response to shocks. Our key policy priorities are:

- **Fiscal policy.** Continuing fiscal consolidation over the medium term to reduce the burden on monetary policy in demand management, maintain public debt sustainability, and support a reduction in the current account deficit while protecting high-priority public investment and social spending.
- **Public financial management.** Taking decisive steps to increase the efficiency, effectiveness, transparency, and accountability of public spending, in order to ensure that there is sufficient fiscal space for priority social and investment projects.
- **Monetary policy.** Gradually bringing inflation towards the mid-point of our target range of 5 ± 2.5 percent in the context of a flexible exchange rate, and further improving the monetary policy framework to facilitate transition towards a modern inflation targeting framework.
- **Financial stability.** Safeguarding financial stability by enhancing prudential regulation and supervision in the face of increased growth and complexity of the financial sector. This is in tandem with bolstering the “new normal” regime in the banking sector that is premised on greater transparency, strengthened governance, and resilient business models, and on Kenya’s Vision 2030 objective of promoting a sound, safe, and inclusive financial system.
- **Structural reforms.** Deepening structural and governance reforms to improve the business environment and thus boost investment and employment creation.
- **Data provision.** Improving data quality in line with international best practices, to support economic policy making, transparency and accountability.

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IV. PROGRAM POLICIES

A. Fiscal Policy

10. Policy anchor. Our fiscal anchor remains a gross public debt target of 45 percent of GDP (in net present value terms) over the medium term. Consistent with this objective, we are committed to gradually reducing fiscal deficits, with a focus on higher revenues to protect growth-enhancing public investment and social spending. We target a reduction in the fiscal deficit to put debt on a downward path.

11. We target a deficit of 6.9 percent of GDP for 2016/17. Revenue collection during July-September has improved, with particularly high receipts of VAT and excise revenues. This reflects improvements in revenue administration from the I-tax system, new excise tax measures, and the re-introduction of withholding VAT. Revenues are nevertheless expected to be 0.3 percent of GDP lower than anticipated in the program, mainly due to projected shortfalls in income tax revenue. To ensure that the deficit target will be met, we will reduce lower-priority spending.

12. To maintain fiscal sustainability and move towards the EAC monetary union convergence criterion, we remain committed to take fiscal measures to reduce the fiscal deficit to 5.9 percent in 2017/18. These measures will include steps to:

- **Reduce tax expenditures.** Supported by World Bank technical assistance (TA), we are conducting a review of existing tax expenditures in order to identify their size, type (e.g., exemptions, reduced rates) and evolution over time. Based on the results of this study expected to be completed by January 2017 (**structural benchmark**), we will devise measures to reduce tax expenditures starting in July 2017. In parallel, we are working on a new simplified and modern Income Tax Law with a view to ease administration and enhance compliance.
- **Standardize remuneration across the national government and start a public sector rationalization effort.** We will streamline allowances and harmonize salary scales for civil servants in line with recommendations from the Salaries and Remuneration Commission. In addition, we will prepare for the implementation of actions identified in our Capacity Assessment and Rationalization of the Public Sector study, with IMF technical assistance.
- **Rationalize expenditure.** We will take steps to contain growth of lower-priority recurrent and development expenditure. We intend to maintain the overall wage bill of the national government constant as a share of GDP, in part supported by our continued freeze in public sector employment outside essential areas (including security, health, and education).
- **Improve tax administration.** We are taking steps to capture a larger share of the tax base and decrease tax fraud, including through: first, the integration of KRA IT systems with IFMIS, which is at a testing stage; second, a pilot project with seven counties that would allow the KRA to collect taxes on their behalf; third, the valuation benchmarking of imports that has been undertaken by the

KRA to address the undervaluation of imports; and forth, the roll out of the new Customs Management System planned for January 2017, which will permit integration of the various tax departments thereby providing additional and more consistent information on importers. These steps will help add a large number of taxpayers into the KRA's database and will have positive synergies with efforts to strengthen the collection of other taxes. In addition, based on the outcome of the Tax Administration Diagnostic Assessment Tool (TADAT) assessment mission in November 2016, we will identify additional areas of improvement in our tax administration and incorporate these into our reform agenda for 2017/18.

- **Strengthen revenue performance at the county level.** We will submit to parliament by end-March 2017 draft legislation to clarify powers by counties to set taxes/user fees (**structural benchmark**), aimed at increasing revenue at the county level, while maintaining a business-friendly tax system. In addition, we are discussing Memoranda of Understanding aimed at initiating KRA's engagement with county governments regarding the shared administration of property taxes. Data from 11 county suppliers in 2015/16 has been collected and is being analyzed. KRA is awaiting the signing of MOUs by governors in three pilot counties i.e. Laikipia, Kiambu and Makueni. We have developed county revenue collection module in I-tax. We intend to raise additional property tax revenue from 0.15 percent of GDP in 2014/15 to 0.5 percent of GDP by 2019/20.

13. We will closely monitor revenue developments during the remainder of 2016/17. If revenues are falling short of expectations during the course of the year, we will take measures to ensure that the deficit target for 2016/17 is met. In addition, we will continue to update and refine our analysis of the effects of administrative measures on revenues, taking into account recent developments in revenues. If necessary, we will introduce additional reforms to tax policy and revenue administration to ensure that we can meet the revenue targets for 2017/18.

14. We will continue to improve public finance management.

- **Achieve better value for money in implementation of investment projects through stricter selection and monitoring procedures.** We will ensure separation of the project approval process from the annual budgeting process by adopting cabinet guidelines on the appraisal and monitoring of new investment projects by end-March 2017 (**structural benchmark**). In addition, we will set up a Committee within the Directorate of Budget and Fiscal Affairs to coordinate Public Investment Management (PIM), and we will also set up an integrated PIM system for tracking projects through the project cycle by end-June 2017 (**structural benchmark**). This will serve as a databank for public investment projects with a positive appraisal decision. The system will build on the existing e-Promis system, which will be brought under the responsibility of the Directorate of Budget, Fiscal and Economic Affairs. In parallel, we will verify and update by December 2017 information included in the existing database (Annex 7), distinguishing projects for which funding is justified from projects in need of a reassessment.
- **Establish a Centralized Payment System (CPS)/Treasury Single Account (TSA)** to ensure better control of the payment process by helping simplify processes, facilitating the automation of

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bank account reconciliation, and establishing a link between release of funds from the exchequer account at the central bank and approved payment instructions. We will test the use of a Central Payment Account (CPA) during January-June 2017 with the view to making it fully operational by end-June 2017 (**structural benchmark**). The CPA will replace the accounts currently held by Ministries, Departments and Agencies (MDAs), and will be fully linked to IFMIS in such a way that payments are made directly by Treasury to service providers. In preparation for this, we will automate the release of funds from the exchequer account, first through the current system of MDA accounts by March 2017 (**structural benchmark**) and later through the CPS. We will complete the preparation of the issuance of electronic payment advice (ePA) by March 2017 in order to allow for the processing of debt payments and foreign currency payments through IFMIS. This will help ensure timely payments of all obligations and thus avoid any recurrence of external payments arrears.

- **Improve the monitoring and reporting of government pending bills.** We have established a committee in charge of reviewing and recommending necessary actions for the liquidation of pending bills. Going forward, we will produce and monitor a report of the stock of pending bills measured as the difference between requisitions received by IFMIS for payment process and the corresponding release of funds from the exchequer account, disaggregated by time lag. We will monitor the change in the stock of pending bills through an indicative target under the program starting in December 2016 (Table 1). Other pending bills reported by MDAs will be assessed and resolved prior to the shift to the new CPA system.
- **Produce consolidated financial statements.** Building on the recent creation of consolidated financial statements (CFS) for MDAs, Consolidated Fund Accounts, SAGAs, development projects, and county governments, we will move forward in producing a CFS for the entire public sector. This will be achieved in a stepwise manner. In the first phase, a CFS of the budgetary central government, that is the MDAs, their development projects, and the Consolidated Fund Accounts, will be completed. In the second phase, the CFS of the central government and county governments will be produced and published by end-March 2017 (**structural benchmark**). In the final phase, we will integrate semi-autonomous entities and the rest of the public sector, incorporating public corporations, both financial and nonfinancial.
- **Strengthen the role of e-procurement.** We are working with the ICT Authority to extend coverage to include all government entities (including all state-owned enterprises). A system to monitor the dispersion of prices across Government is already in place and is able to compute the variance in these prices. We are working with the PPOA to continuously monitor and update the price index. The draft regulations to implement the recent procurement law are ready and will be submitted to the Attorney General for drafting after validation. We expect to table them in Parliament by December 2016.

B. Monetary Policy

15. Policy objectives: Our primary policy objective is to bring headline inflation towards the midpoint of our target range (5 ± 2.5 percent) in the context of a floating exchange rate regime, and

further improve the monetary policy framework to facilitate transition towards a modern inflation targeting framework.

16. We are committed to strengthening the monetary policy framework in the context of a floating exchange rate regime. However, the introduction of interest rate caps limits the effectiveness of CBK's monetary policy, and consequently, the pace of the transition to an inflation-targeting framework will be slower-than-envisaged. To that end, we will take the following measures:

- **Increasing the effectiveness of our policy rate (CBR).** We remain committed to a closer alignment of the interbank rate with the CBR by establishing an interest rate corridor. This would enhance the role of the CBR as a signaling device for our monetary policy stance. However, reflecting the uncertainties from the impact on our economy and on the effectiveness of monetary policy of the new legislation on interest rates, the pace of this alignment will be slower than was envisaged at the inception of the program. Against this backdrop, we are conducting liquidity operations to gradually bring interbank rates towards the policy rate, as economic conditions permit.
- **Improving liquidity distribution among banks.** To improve liquidity management, the CBK will set up a central depository for government securities that will act as collateral for Horizontal Repo transactions and enhance collateralized lending between banks. In addition, the CBK is working with the World Bank Group, the National Treasury, State Law Office, and other agencies to establish a central collateral register. A draft bill will be finalized by end-December 2016. These steps are expected to improve liquidity distribution among banks.
- **Reducing structural rigidities in government securities market.** The government is committed to supporting the ongoing development of Kenya's capital markets through the development of an efficient primary and secondary market for government securities by taking steps to broaden participation and lower transactions costs. These include: (i) the ongoing preparatory process to adopt an electronic bond auction system that will enable over-the-counter (OTC) trading for government securities and thus promote market making activities by allowing two-way quotes for government securities starting initially with Treasury bills. This will result in cost savings for both the government and market participants, and ensure greater market access for investors by a clear separation of retail and wholesale investors in government securities; (ii) establishing innovative means for retail investors to participate in the securities market through using mobile phone platforms such as M-Akiba and Treasury Mobile Direct (TMD); and (iii) our recent introduction of a regular Issuance Calendar that is released on a quarterly basis.

C. Financial Sector

17. Policy objectives: Safeguarding financial stability remains one of our key priorities. We will continue to take steps to further strengthen prudential regulation and supervision, with a view to addressing the increased complexity of the financial sector. This is in tandem with a "new normal" in the banking sector that is premised on greater transparency, strengthened governance and resilient business models.

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18. The banking system's financial stability indicators remain sound and we are closely monitoring potential risks. As noted above, while the NPLs have increased during 2016, the core capital and total capital to total risk weighted assets ratios for the banking system are well above the respective statutory minimums. The sector's liquidity has also improved (from 37.4 percent in September 2015 to 42.9 percent in September 2016). In addition, the liquidity distribution has also started to even out across the sector unlike in the last and first quarters of 2015 and 2016 when liquidity distribution was skewed to the large banks. Over the last one year, three problem banks were identified largely due to their weak corporate governance and poor liquidity management. Dubai Bank was placed under liquidation, while Imperial Bank and Chase Bank were placed under receivership. These three banks were not systemic and therefore the banking sector has continued to be resilient. The sector as a whole has continued to comply with the minimum prudential requirements in terms of capital, liquidity and asset quality. We continue to closely monitor credit and liquidity risks through assessment of adequacy of provisions, sufficiency of capital buffers and robustness of liquidity management strategies for banks.

19. The banking sector has continued to demonstrate robust growth and resilience both in its domestic and regional operations. We have adopted an action plan on banking regulations and supervision, and on that basis are taking steps to strengthen the legal and regulatory framework for banks, including by:

- **Requiring greater transparency on the part of banks.** Banks are now required to disclose on their websites details of significant shareholders who own 5 percent or more shareholding.
- **Rolling out onsite risk-based AML/CFT inspections** for commercial banks and microfinance banks.
- **Auditing ICT systems of banks.** The CBK engaged external auditors of banks in 2015 to review the effectiveness of ICT systems of all banks. Those banks whose ICT systems were found with weaknesses have provided time-bound plans on remedying them.
- **Reviewing insider lending by banks.** The CBK has directed external auditors of banks to review the effectiveness of banks insider lending practices as part of efforts to strengthen banks corporate governance practices.
- **Strengthening regulatory guidance on ICAAP.** In order to enhance sector-wide risk and capital management, the CBK will issue a Guidance Note to the banking industry on development and preparation of Internal Capital Adequacy Assessment Planning (ICAAP), to guide institutions in capital planning. In August 2016, the Central Bank released a draft Guidance Note on ICAAP for public review and comments.

20. To further strengthen banking supervision going forward, we have identified strategic priority areas, including:

- Recruiting an additional 15 members of staff by January 2017, to enhance banking sector monitoring, in particular as regards IT systems audit.
- Improving capital adequacy assessment by issuing a Guidance Note on ICAAP to the banking sector by January 2017 and ensuring that all banks submit an ICAAP to the CBK by June 2017 (**structural benchmark**).
- Integrating a risk based approach in Anti-Money Laundering/Combatting Financing of Terrorism (AML/CFT) supervision of banks and non-banks under CBK's regulatory purview by June 2017.

21. We are also reducing barriers to competition in the credit markets and taking other steps to reduce borrowing costs. These include:

- Strengthening further the credit reference system to enhance borrower monitoring, data quality and integrity, and public sensitization to promote usage of credit reference for credit-risk pricing. Technical assistance on this work is being provided by the World Bank Group.
- Adopting in 2017 a single annual percentage rate (APR) methodology that includes all fees and charges in a single rate, and require banks to post APRs for all of their credit facilities.

D. Other Structural Reforms

22. Policy objectives: We are deepening structural and governance reforms, with a view to easing the cost of doing business and thus boosting investment and employment creation.

23. We will continue implementing our ambitious reforms aimed at strengthening the business environment and improving governance. Kenya climbed to position 92 in the 2017 World Bank Doing Business ranking, thanks to significant simplification of processes to start a business; better provision of electricity; and the implementation of the Companies Act and the Insolvency Act, which protects the interest of minority investors while allowing more flexibility to distressed companies to reorganize themselves. We will continue strengthening Huduma Centers, which provide services to citizens in 52 areas; the E-citizens Portal managed by the National Treasury; the Electronic Single Window for customs clearance; and measures to further reduce the cost and time for trade along the Northern Corridor and through Mombasa. We will complement these achievements with new legislation to strengthen governance in business operations (Anti-Bribery Bill) and in the construction of roads (The Roads Bill). In addition, we will introduce regulations to the recently enacted Procurement Bill to develop a clear framework for the establishment of procurement units in counties. These will be aligned with National Treasury Systems to ensure a cost effective utilization of public resources. The Public Procurement Oversight Authority (PPOA) is also preparing The Code of Ethics for Suppliers in Public Procurement and Disposal. Furthermore, we also plan to introduce amendments to the Competition Bill to enhance consumer protection from unfair market conduct.

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E. Data Quality

24. Policy objectives: To enhance our macroeconomic data, we will continue to improve the availability, quality, coverage, and timeliness of our statistics.

25. Data quality and timeliness. In order to improve macroeconomic data dissemination practices, we intend to participate in the Enhanced General Data Dissemination System (e-GDDS) initiative, subject to data sensitivities. The Kenya National Bureau of Statistics (KNBS) is conducting the 2016 Foreign Investment Survey and the results will be integrated into the 2016 Balance of Payments and International Investment Position (IIP) statistics. The Economic Survey, to be published in May 2017, will include the first ever IIP statistics for Kenya covering 2011–16. We are working toward publishing quarterly consolidated GFS-compliant fiscal accounts for the budgetary central government (national government) by December 2016. Data collection for the Household Budget Survey has been completed and we are on track to publish the results by March 2017. The CBK will start reporting additional information on average loan and deposits interest rates. For loans, rates by type of lender (large corporates, SME, mortgage loans, retail/personal unsecured loans), and maturity (less than 1 year, 1–3 years, more than 3 years) will be provided. For deposits, a breakdown by maturity (savings accounts, fixed-term up to 1 year, and more than 1 year) will be provided.

Table 1. Kenya: Quantitative Performance Criteria and Indicative Targets, March 2016—June 2017

(in billions of Kenyan shillings, unless otherwise indicated)

	2015 End-Dec	Performance Criteria (PC)/Indicative targets (IT)												2017 End-Mar (IT) End-Jun (PC)	
		2016													
		End-Mar (IT)			End-Jun (PC)				End-Sep (IT)			End-Dec (PC)			
		Act.	Prog.	Prel.	Met / Not Met	Prog.	Prel.	Adj Prog.	Met / Not Met	Prog.	Prel.	Met / Not Met	Prog.	Proj.	Proposed
Quantitative performance criteria ¹															
Fiscal targets															
Primary budget balance of the national government (-=deficit, floor) ^{2, 3}	-99.5	-164.1	-83.8	Met	-206.0	-206.9	-220.7	Met	-46.0	-7.9	Met	-82.9	-100.0	-169.5	-211.5
Monetary targets ^{4, 5}															
Stock of central bank net international reserves (floor, in millions of US\$) ^{6, 7}	6,367	5,784	6,535	Met	5,900	6,846	5,941	Met	5,852	7,105	Met	6,283	6,283	6,266	7,230
Public debt target															
National government external payment arrears (ceiling, millions of US\$) ⁸	0	0	0	Met	0	0	0	Met	0	0	Met	0	0	0	0
Monetary policy consultation clause															
Upper band	...	8.5	...	...	7.5	...	...		7.5	...		7.5	7.5	7.5	7.5
Center inflation target ⁹	7.4	5.0	7.0	Met	5.0	5.4	...	Met	5.0	6.3	Met	5.0	5.0	5.0	5.0
Lower band	...	2.5	...	...	2.5	...	...		2.5	...		2.5	2.5	2.5	2.5
Indicative targets															
Stock of net domestic assets of the central bank (ceiling)	-246	-169	-268.5	Met	-151	-303	...	Met	-139	-330	Met	-165	-165	-193	-289
Priority social expenditures of the national government (floor) ³	25	41	44	Met	60	57	...	Not Met	14.5	14.6	Met	20.5	10.5	30.0	57.4
Stock of all guarantees issued by the national government (ceiling) ³	50	50	0	Met	50	0	...	Met	50	0	Met	50	50	50	50
Change in the stock of national government domestic bills pending for 90 days or more ³	...	...	...	...	...	...	...	...	...	...	...	...	...	0	0
Memorandum items:															
Maximum upward adjustment of the primary deficit ceiling owing to excess in concessional loans relative to program projections ³															
	42.0	36.7	-17.5	...	37.7	14.4	...		13.6	-16.6	...	27.1	27.1	30.0	39.6
Programmed project loans ^{3, 10}	69.5	61.6	64.5	...	86.4	84.6	...		20.0	20.0	...	56.8	56.8	85.7	96.0
Budgeted project loans ^{3, 10}	111.4	98.3	47.0	...	124.1	99.0	...		33.6	3.4	...	83.9	83.9	115.7	135.6
Programmed external commercial debt (millions of US\$) ³	750	1,350	733.6	...	1,350	1,431	...		0	100	...	1,000	750	750	1,500
Program grants ³	2.9	4.5	4.3	...	6.4	4.3	...		1.5	0.2	...	2.7	2.7	3.5	6.1

¹ Performance criteria for end-December 2016 and end-June 2017, and indicative target for end-September 2016 and end-March 2017.² The primary budget balance of the national government and related adjusters are defined, respectively, in paragraph 6 and paragraph 7 of the TMU. The adjusted target for end-June 2016 reflects the shortfalls in program grants (KSh 4.3 billion actual versus a programmed level of KSh 6.4 billion) and higher project loans relative to the program (respectively, KSh 99 billion and KSh 86.4 billion), as indicated in the memorandum items of this table.³ All targets are cumulative flows from July 1, 2016, except for government pending bills that are cumulative from January 1, 2017.⁴ For program monitoring, the daily average for the month when testing dates are due.⁵ The adjusters to the NIR and NDA targets are specified, respectively, in paragraph 8 and paragraph 13 of the TMU.⁶ Excludes encumbered reserves. Includes Kenya's reserve tranche position in the Fund starting from March 16, 2016.⁷ Using exchange rates as at end-January 2016 (see TMU ¶9).⁸ Continuous. Payment on an external obligation of US\$0.321 million was made with a delay of 11 days in August 2016. Kenya has since been current on all external payment obligations.⁹ Compliance will be evaluated based on the 12-month inflation average of the latest three months.¹⁰ Excludes the first phase of the Standard Gauge Railway (Mombasa to Nairobi).

Table 2. Kenya: Structural Benchmarks Under the SBA-SCF Program, March–September 2016

Measure	Target Date	Status
Publish consolidated financial statements of all entities in the public sector (includes SAGAs, AGAs, and other state-owned enterprises), as part of the regular annual reporting (IMF Country Report No. 16/85, MEFP ¶16)	End-March 2016	Not met. Partially consolidated statements were published in the National Treasury website in August 2016. Modified and re-phased for end-March 2017 (see Table 3).
Establish an interest rate corridor for the interbank interest rate around CBR (IMF Country Report No. 16/85, MEFP ¶16)	End-September 2016	Not met. The establishment of the corridor will be delayed until constraints on Kenya's interest-rate based monetary framework from the interest rate controls are lifted.
Establish a tracking system to closely monitor the accumulation of pending bills and produce monthly Aging Pending Bills reports starting in June 2016 (IMF Country Report No. 16/85, MEFP ¶16)	End-June 2016	Not met. Treasury established the tracking system in June and started producing a monthly Aging Pending Bill in November.
Incorporate personnel payments into IFMIS by interfacing it with the human resources management information systems (IPPD) (IMF Country Report No. 16/85, MEFP ¶16)	End-June 2016	Not met. The platform for interfacing personnel payments into IFMIS has been completed, and the new system is being tested in 3 ministries. Roll out to all national government entities is expected to be completed by June 2017.
Finalize an action plan containing measures to further strengthen banking regulations and supervision to align them with best practices (IMF Country Report No. 16/85, MEFP ¶19)	End-June 2016	Not met. Completed in November 2016.
Complete a study on tax expenditures, in order to identify their size, type (e.g., tax exemptions, reduced tax rates), their evolution over time, and the category of taxation to which they apply (IMF Country Report No. 16/85, MEFP ¶15)	End-September 2016	Not met. A World Bank TA mission on strengthening domestic revenue mobilization took place in September 2016. Re-phased for end-January 2017 (see Table 3).
Issue and adopt Cabinet guidelines on the selection, appraisal, and funding for major investments projects (IMF Country Report No. 16/85, MEFP ¶15)	End-September 2016	Not met. An AFRITAC mission to help the Treasury with the preparation on guidelines took place in October 2016. Re-phased for end-January 2017 (see Table 3).
As part of the Treasury Single Account reform, capture all public debt payments in IFMIS (IMF Country Report No. 16/85, MEFP ¶15)	End-September 2016	Not met. Capture of public debt payments by IFMIS is part of the structural benchmark on the Centralized Payment System planned for June 2017 (see Table 3).
Submit to parliament draft legislation to clarify powers by counties to set taxes/user fees, aimed at increasing revenue at the county level, while maintaining a business-friendly tax system (IMF Country Report No. 16/85, MEFP ¶16)	End-December 2016	Delayed. FAD TA mission in November 2016 reviewed progress of the task force working on counties revenue enhancement measures. Stakeholder consultations planned for January-February 2017. Rephased for end-March 2017 (see Table 3).

Table 3. Kenya: Proposed Structural Benchmarks

Measure	Target Date	Macro criticality
Complete a study on tax expenditures, in order to identify their size, type (e.g., tax exemptions, reduced tax rates), their evolution over time, and the category of taxation to which they apply (¶12). Rephased from end-September 2016.	End-January 2017	To help reduce tax expenditures and help achieve the fiscal deficit targets over the medium term
Adopt Cabinet guidelines on the selection, appraisal, and funding for major investments projects (¶14). Rephased from end-September 2016.	End-March 2017	To improve the efficiency of public investment
Submit to parliament draft legislation to clarify powers by counties to set taxes/user fees, aimed at increasing revenue at the county level, while maintaining a business-friendly tax system (¶12). Rephased from end-December 2016.	End-March 2017	To reduce pressures on transfers to counties while maintaining a business-friendly environment
Automate the release of funds from the exchequer account, first through the current system of MDA accounts (¶14)	End-March 2017	To strengthen control on public expenditure
Publish consolidated financial statements for the budgetary central government (i.e., the MDAs, their development projects, and the Consolidated Fund Accounts) (¶14). Modified and re-phased from end-March 2016.	End-March 2017	To improve the coverage of fiscal reports
Set up an integrated Public Investment Management (PIM) system for tracking projects through the project cycle (¶14)	End-June 2017	To improve the efficiency of public investment
Make operational a Centralized Payment System to ensure better control of public expenditure (¶14).	End-June 2017	To strengthen control on public expenditure
Improve capital adequacy assessment by issuing a Guidance Note on Internal Capital Adequacy Assessment Planning (ICAAP) to the banking sector, and ensure that all banks submit an ICAAP to the CBK (¶20).	End-June 2017	To help maintain financial stability

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Attachment II. Technical Memorandum of Understanding

1. This memorandum sets out the understandings between the Kenyan authorities and the IMF regarding the definitions of quantitative performance criteria and indicative targets, their adjusters and data reporting requirements for the 24-month Stand-By Arrangement and the arrangement under the Standby Credit Facility.

2. For the purposes of the program, the National Government of Kenya corresponds to the budgetary central government encompassing the activities of the national executive, legislative and judicial powers covered by the National Budget. Specifically, it includes the parliament, presidential office, national judiciary, Ministries, Departments, Agencies, and Constitutional Commissions and Independent Offices.

1. QUANTITATIVE PERFORMANCE CRITERIA AND BENCHMARKS

3. Quantitative performance criteria are established for December 31, 2016 and June 30, 2017 with respect to:

- the primary balance of the national government including grants, and excluding spending related to the first phase of the Standard Gauge Railway project (connecting Mombasa to Nairobi), cash basis (**floor**);
- the net official international reserves (NIR) of the Central Bank of Kenya (CBK) (**floor**);
- national government medium- and long-term external public debt arrears (**continuous ceiling**);
- monetary policy consultation clause (**band**).

4. The program sets indicative targets for March 31, 2017 with respect to the above variables, and for December 31, 2016, March 31, 2017, and June 30, 2017 unless otherwise specified with respect to:

- the net domestic assets (NDA) of the CBK (**ceiling**);
- change in the stock of national government domestic bills pending for 90 days or longer (**ceiling**) effective from end-December, 2016;
- priority social spending of the national government (**floor**); and
- stock of guarantees issued by the national government (**ceiling**).

II. PERFORMANCE CRITERION ON THE PRIMARY BALANCE OF THE NATIONAL GOVERNMENT

5. **The national government primary balance** on cash basis is defined as national government revenues and grants minus expenditures and net lending, plus due interest payments, and spending related to the Standard Gauge Railway project, adjusted for cash basis.

6. For program purposes, the **national government primary balance**¹ on cash basis will be measured from the financing side as the sum of the following: (a) the negative of net domestic financing of the national government; (b) the negative of net external financing of the national government, excluding the executed amount of disbursements related to the first phase of the Standard Gauge Railway project (connecting Mombasa to Nairobi); and (c) domestic and external interest payments of the national government. For all test dates, the national government primary balance will be measured cumulatively from July 1, 2016.

The above items are defined as follows:

- **Net domestic financing** of the national government is defined as the sum of:
 - net domestic bank financing;
 - net domestic nonbank financing; and
 - proceeds from privatization.
 - **Net external financing at actual transaction exchange rates** is defined as the sum of:
 - disbursements of **external project loans**, including securitization and excluding executed amounts of disbursements related to the first phase of the Standard Gauge Railway project;
 - disbursements of **budget support loans**;
 - the negative of principal repayments due on all **external loans**;
 - net proceeds from issuance of external debt;
 - any exceptional financing (including rescheduled principal and interest);
 - net changes in the stock of short-term external debt; and
 - any change in external arrears including interest payments.
 - **Domestic and external interest payments** of the national government are defined as the due interest charges on domestic and external national government debt.
7. **Adjustors.** The national government primary balance target will be: (i) adjusted downward by the amount of the shortfall in program grants, which are expected as refunds for Kenya's participation in African Union Mission in Somalia (AMISOM), as specified in TMU Table 1 below;

¹ The definition of the national government primary balance presented in the TMUs published as IMF Country report No. 15/31 and 15/269 contained inadvertent errors. The actual data reporting was done based on the understandings reached at the time of the initial program discussions. The current version of the TMU reflects these understandings.

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and (ii) adjusted downwards by the excess in project loans (excluding first phase of the Standard Gauge Railway project) relative to the programmed amounts, as specified in MEFP Table 3, up to the maximum amounts, as specified in MEFP Table 3.

TMU Table 1. Kenya: African Mission in Somalia (AMISOM) Grant Schedule				
(Billions of Kenyan Shillings)				
	2016		2017	
	Sep.	Dec.	Mar.	Jun.
Program Amount ¹	1.2	2.7	3.5	6.4
Source: Authorities' data.				
¹ For FY2016/17 cumulative from July 1, 2016.				

III. PERFORMANCE CRITERION ON THE NET INTERNATIONAL RESERVES OF THE CENTRAL BANK OF KENYA

8. The net official international reserves (NIR) (stock) of the CBK will be calculated as the difference between total gross official international reserves and official reserve liabilities.

- **Gross official international reserves** are defined as the sum of:
 - the CBK's holdings of monetary gold (excluding amounts pledged as collateral);
 - holdings of Special Drawing Rights (SDRs);
 - CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments); and
 - Kenya's reserve tranche position with the IMF.
- **Gross official international reserves** exclude:
 - pledged, swapped, or any encumbered reserve assets, including but not limited to reserve assets used as collateral or guarantees for third-party external liabilities;
 - deposits with Crown agents; and
 - precious metals other than gold, assets in nonconvertible currencies and illiquid foreign assets.
- **Gross official reserve liabilities** are defined as:
 - the total outstanding liabilities of the CBK to the IMF, excluding the SDR allocations;
 - convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year; and
 - commitments to sell foreign exchange arising from derivatives (such as futures, forwards, swaps, and options).

- The following **adjustors** will apply to the target for NIR:
 - if budgetary external program grants and external commercial debt exceed the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted upward by half of the difference; and
 - if budgetary external program grants and external commercial debt fall short of the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted downward by the difference.

TMU Table 2. Projected Budgetary External Grants and Loans ¹				
(US\$ millions)				
	2016		2017	
	Sep.	Dec.	Mar.	Jun.
Program grants	1.5	2.7	3.5	6.4
External commercial debt	0	750	750	1,500

Source: Kenyan authorities.

¹ Cumulative from July 1, 2016.

9. NIR are monitored in U.S. dollars, and, for program monitoring purposes, assets and liabilities in currencies other than the U.S. dollar shall be converted into dollar equivalent values, using the exchange rates as specified in TMU Table 3 below, and net international reserves will be computed as the daily average for the month when the testing date is due.

TMU Table 3. Kenya: Program Exchange Rates		
(Rates as of January 26, 2016)		
Currency	Kenyan Shillings per currency unit	US Dollars per currency unit
US Dollar	102.24	1.00
STG Pound	145.48	1.42
Japanese Yen	0.87	117.52
Canadian Dollars	71.53	1.43
Euro	110.91	1.08
Swiss Franc	100.85	1.01
Swedish Kronor	11.93	8.57
Danish Kronor	14.87	6.88
Chinese Yuan	15.54	6.58
Australian Dollars	71.02	1.44
SDR	140.87	1.38

Source: Central Bank of Kenya.

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IV. CONTINUOUS PERFORMANCE CRITERION ON THE NATIONAL GOVERNMENT EXTERNAL PAYMENT ARREARS

10. National government external payment arrears to official and private external creditors are defined as overdue payments (principal or interest), which were not made by their contract due date nor during the applicable grace period thereafter, on debt contracted by the national government. National government guaranteed external debt payment arrears (principal or interest) to official and private creditors are defined as overdue payments beyond 30 days after the original contract due date in order to allow the national government sufficient time to process the due repayment after the original debtor has notified of its inability to pay. The definition excludes arrears relating to debt subject to renegotiation (dispute) or rescheduling.

11. The performance criterion on the national government external payment arrears is defined as a cumulative flow in gross terms from July 1, 2015 and applies on a continuous basis.

V. MONETARY POLICY CONSULTATION CLAUSE

12. The quarterly bands around the projected 12-month rate of inflation in consumer prices (as measured by the headline consumer price index (CPI) published by the Kenya National Bureau of Statistics), are specified in the TMU Table 4 below.

- If the observed average for the latest three months of the 12-months rate of CPI inflation falls outside the lower or upper bands specified in the TMU Table 4 below for end-December 2016 and end-June 2017 test dates, the authorities will complete a consultation with the IMF Executive Board which would focus on: (i) the stance of monetary policy and whether the Fund-supported program remains on track; (ii) the reasons for program deviations, taking into account compensating factors; and (iii) proposed remedial actions if deemed necessary. When the consultation with the IMF Executive Board is triggered, access to Fund resources will be interrupted until the consultation takes place.
- If the observed average for the latest three months of the 12-month rate of CPI inflation falls outside the lower or upper bands specified in the TMU Table 4 below for end-March 2017 test date, the authorities will conduct discussions with the Fund staff.

TMU Table 4. Inflation Consultation Band

	2016				2017	
	Jan.- Mar. Actual	Apr.- Jun. Actual	Jul.- Sep. Actual	Oct.- Dec. Target	Jan.- Mar. Indicat.	Apr.- Jun. Target
Upper band				7.5	7.5	7.5
Actual/ Center point	7.0	5.4	6.3	5.0	5.0	5.0
Lower band				2.5	2.5	2.5

VI. INDICATIVE TARGET ON THE NET DOMESTIC ASSETS OF THE CENTRAL BANK OF KENYA

13. Net domestic assets (NDA) are defined as reserve money minus NIR converted in shillings at the accounting exchange rate specified in TMU Table 3, plus medium- and long-term liabilities (i.e., liabilities with a maturity of one year or more) of the CBK; minus the value in shillings of encumbered reserves converted at the accounting exchange rate specified in TMU Table 3.

- NDA is composed of:
 - net CBK credit to the national government;
 - outstanding net credit to domestic banks by the CBK (including overdrafts); and
 - other items net.
 - Reserve money is defined as the sum of:
 - currency in circulation; and
 - required and excess reserves.
 - The following **adjustors** will apply to the target for NDA:
 - if budgetary support (external grants and loans) and external commercial debt exceed the programmed amounts, the target for NDA will be adjusted downward by half of the difference; and
 - if budgetary support (external grants and loans) and external commercial debt fall short of the programmed amounts, the target for NDA will be adjusted upward by the difference.
- 14.** NDA are monitored in shillings, and will be computed as the daily average for the month when the testing date is due.

VII. INDICATIVE TARGET ON NATIONAL GOVERNMENT DOMESTIC PENDING BILLS

15. For the purposes of the program, national government domestic pending bills are defined as outstanding invoices for which requisitions for payment have been received in Integrated Financial Management Information System (IFMIS) but no corresponding release of funds from the exchequer account has taken place. The Indicative Target (ceiling) applies to the change in the total stock of bills that have been pending for 90 days or more.

VIII. INDICATIVE TARGET ON PRIORITY SOCIAL SPENDING

- 16.** For the purposes of the program, priority social spending of the national government is defined as the sum of:
- cash transfers to orphans and vulnerable children;
 - cash transfers to elderly;
 - free primary education expenditure; and
 - free secondary education expenditure.

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IX. INDICATIVE TARGET ON GUARANTEES ISSUED BY THE NATIONAL GOVERNMENT

17. The guarantees issued by the national government include all guarantees extended by the national government to counties, public enterprises and all parastatal entities. All indicative targets are cumulative from July 1, 2016.

X. DATA REPORTING

18. To monitor program performance, the National Treasury and the CBK will provide to the IMF the information at the frequency and within the reporting deadlines specified in TMU Table 5 below.

TMU Table 5. Kenya: Summary of Data to Be Reported			
Information	Frequency	Reporting Deadline	Responsible Entity
1. Primary balance of the national government			
Net domestic bank financing (including net commercial bank credit to the national government and net CBK credit to the national government)	Monthly	Within 20 days after the end of the month.	CBK
Net nonbank financing of the national government	Monthly	Within 20 days after the end of the month.	National Treasury (NT)
Proceeds from privatization	Monthly	Within 20 days after the end of the month.	NT
Interest due and paid on domestic debt	Monthly	Within 20 days after the end of the month.	CBK
Interest due and paid on external debt	Quarterly	Within 4 weeks after the end of the quarter.	CBK
Disbursements of external concessional and nonconcessional project loans, including securitization	Quarterly	Within 45 days after the end of the quarter.	NT
Disbursements of budget support loans	Quarterly	Within 45 days after the end of the quarter.	NT
Principal repayments due and paid on all external loans	Quarterly	Within 20 days after the end of the month.	CBK
Net proceeds from issuance of external debt	Monthly	Within 20 days after the end of the month.	CBK
Any exceptional financing (including rescheduled principal and interest)	Monthly	Within 20 days after the end of the month.	NT
Net changes in the stock of short-term external debt	Quarterly	Within 45 days after the end of the quarter.	NT
Net change in external arrears, including interest and principal, and penalties	Monthly	Within 45 days after the end of the quarter.	NT
2. Gross official international reserves			
CBK's holding of monetary gold (excluding amounts pledged as collateral)	Monthly	Within 20 days after the end of the month.	CBK
Holdings of SDRs.	Monthly	Within 20 days after the end of the month.	CBK
CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments).	Monthly	Within 20 days after the end of the month.	CBK

TMU Table 5. Summary of Data to Be Reported (concluded)

3. Official reserve liabilities			
Total outstanding liabilities of the CBK to the IMF excluding the SDR allocations.	Monthly	Within 20 days after the end of the month.	CBK
Convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year.	Monthly	Within 20 days after the end of the month.	CBK
Commitments to sell foreign exchange arising from derivatives.	Monthly	Within 20 days after the end of the month.	CBK
4. Net domestic assets			
Net CBK credit to the national government.	Monthly	Within 20 days after the end of the month.	CBK
Outstanding net CBK credit to domestic banks (including overdrafts).	Monthly	Within 20 days after the end of the month.	CBK
5. Other indicators			
Currency in circulation.	Monthly	Within 20 days after the end of the month.	CBK
Required and excess reserves	Monthly	Within 20 days after the end of the month.	CBK
Concessional and nonconcessional medium- and long-term external debt contracted or guaranteed by the national government.	Quarterly	Within 45 days after the end of the quarter.	NT
Accumulation of national government external payment arrears.	Monthly	Within 45 days after the end of the quarter.	NT
Change in the stock of national government domestic bills pending for 90 days or more starting June 2016.	Quarterly	Within 45 days after the end of the quarter.	NT
Social priority spending of the national government	Quarterly	Within 45 days after the end of the quarter.	NT
Grants to government entities and total subsidies.	Quarterly	Within 45 days after the end of the quarter.	NT
Guarantees issued by the national government to counties, public enterprises and all parastatal entities.	Monthly	Within 45 days after the end of the quarter.	NT
Inflows/outflows related to the SGR project.	Quarterly	Within 45 days after the end of the quarter.	NT
12-month CPI inflation.	Monthly	Within 20 days after the end of the month.	KNBS
Financial Soundness Indicators (core and expanded) for other depository corporations.	Quarterly	Within 20 days after the end of the quarter.	CBK